

Hilltops Council

ANNUAL FINANCIAL STATEMENTS
for the year ended 30 June 2024



Hilltops Council

GENERAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2024



General Purpose Financial Statements

for the year ended 30 June 2024

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Overview

Hilltops Council is constituted under the Local Government Act 1993 (NSW) and has its principal place of business at:

189 Boorowa Street
Young NSW 2594

Council's guiding principles are detailed in Chapter 3 of the LGA and includes:

- principles applying to the exercise of functions generally by council,
- principles to be applied when making decisions,
- principles of community participation,
- principles of sound financial management, and
- principles for strategic planning relating to the development of an integrated planning and reporting framework.

A description of the nature of Council's operations and its principal activities are provided in Note B1-2.

Through the use of the internet, we have ensured that our reporting is timely, complete and available at minimum cost. All press releases, financial statements and other information are publicly available on our website: www.hilltops.nsw.gov.au.

Hilltops Council

General Purpose Financial Statements

for the year ended 30 June 2024

Statement by Councillors and Management made pursuant to Section 413 (2c) of the *Local Government Act 1993* (NSW)

The attached general purpose financial statements have been prepared in accordance with:

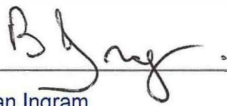
- the *Local Government Act 1993* and the regulations made thereunder,
- the Australian Accounting Standards and other pronouncements of the Australian Accounting Standards Board
- the Local Government Code of Accounting Practice and Financial Reporting.

To the best of our knowledge and belief, these statements:

- present fairly the Council's operating result and financial position for the year
- accord with Council's accounting and other records.

We are not aware of any matter that would render these statements false or misleading in any way.

Signed in accordance with a resolution of Council made on 23 October 2024.



Clr Brian Ingram
Mayor
17 October 2024



Clr Tony Flanery
Councillor
17 October 2024



Mr Anthony O'Reilly
General Manager
17 October 2024



Mr Norman Smith
Responsible Accounting Officer
17 October 2024

Hilltops Council

Income Statement

for the year ended 30 June 2024

Original unaudited budget 2024	\$ '000	Notes	Actual 2024	Restated Actual 2023 ¹
Income from continuing operations				
26,602	Rates and annual charges	B2-1	26,703	25,548
19,592	User charges and fees	B2-2	17,175	14,749
–	Other revenues	B2-3	1,445	1,143
15,144	Grants and contributions provided for operating purposes	B2-4	17,661	23,021
21,675	Grants and contributions provided for capital purposes	B2-4	21,526	12,097
1,527	Interest and investment income	B2-5	3,124	1,112
1,179	Other income	B2-6	705	609
–	Net gain from the disposal of assets	B4-1	–	128
85,719	Total income from continuing operations		88,339	78,407
Expenses from continuing operations				
21,578	Employee benefits and on-costs	B3-1	21,702	20,892
20,118	Materials and services	B3-2	26,950	26,602
398	Borrowing costs	B3-3	937	858
19,775	Depreciation, amortisation and impairment of non-financial assets	B3-4	22,434	20,105
5,993	Other expenses	B3-5	1,097	1,193
–	Net loss from the disposal of assets	B4-1	284	–
67,862	Total expenses from continuing operations		73,404	69,650
17,857	Operating result from continuing operations		14,935	8,757
Net operating result for the year before grants and contributions provided for capital purposes				
(3,818)			(6,591)	(3,340)

(1) Refer to note G4-1 for prior period error

The above Income Statement should be read in conjunction with the accompanying notes.

Hilltops Council

Statement of Comprehensive Income

for the year ended 30 June 2024

\$ '000	Notes	2024	Restated 2023 ¹
Net operating result for the year – from Income Statement		14,935	8,757
Other comprehensive income:			
Amounts which will not be reclassified subsequently to the operating result			
Gain on revaluation of infrastructure, property, plant and equipment	C1-7	34,436	79,889
Total items which will not be reclassified subsequently to the operating result		34,436	79,889
Total other comprehensive income for the year		34,436	79,889
Total comprehensive income for the year attributable to Council		49,371	88,646

(1) Refer to note G4-1 for prior period error

The above Statement of Comprehensive Income should be read in conjunction with the accompanying notes.

Hilltops Council

Statement of Financial Position

as at 30 June 2024

\$ '000	Notes	2024	Restated 2023 ¹	2022 ¹
ASSETS				
Current assets				
Cash and cash equivalents	C1-1	20,915	9,481	20,811
Investments	C1-2	43,103	40,217	20,772
Receivables	C1-4	10,252	7,749	9,145
Inventories	C1-5	1,728	1,171	895
Contract assets and contract cost assets	C1-6	4,209	12,852	9,749
Total current assets		80,207	71,470	61,372
Non-current assets				
Receivables	C1-4	158	208	244
Infrastructure, property, plant and equipment (IPPE)	C1-7	844,150	802,065	719,466
Right of use assets	C2-1	28	49	71
Total non-current assets		844,336	802,322	719,781
Total assets		924,543	873,792	781,153
LIABILITIES				
Current liabilities				
Payables	C3-1	4,976	5,031	3,927
Contract liabilities	C3-2	14,931	12,610	8,219
Lease liabilities	C2-1	22	21	21
Borrowings	C3-3	1,516	1,800	1,853
Employee benefit provisions	C3-4	5,548	5,243	5,223
Provisions	C3-5	8,028	7,787	7,553
Total current liabilities		35,021	32,492	26,796
Non-current liabilities				
Payables	C3-1	85	68	72
Lease liabilities	C2-1	7	29	50
Borrowings	C3-3	10,360	11,877	13,664
Employee benefit provisions	C3-4	1,442	1,339	1,368
Provisions	C3-5	8,919	8,649	8,511
Total non-current liabilities		20,813	21,962	23,665
Total liabilities		55,834	54,454	50,461
Net assets		868,709	819,338	730,692
EQUITY				
Accumulated surplus		639,045	624,110	615,353
IPPE revaluation reserve		229,664	195,228	115,339
Total equity		868,709	819,338	730,692

(1) Refer to note G4-1 for prior period error

The above Statement of Financial Position should be read in conjunction with the accompanying notes.

Hilltops Council

Statement of Changes in Equity

for the year ended 30 June 2024

	Notes	2024			2023 ¹		
		Accumulated surplus	IPPE revaluation reserve	Total equity	Accumulated surplus ¹	IPPE revaluation reserve ¹	Total equity ¹
\$ '000					Restated	Restated	Restated
Opening balance at 1 July		624,110	195,228	819,338	609,779	117,835	727,614
Correction of prior period errors	G4-1	–	–	–	5,574	(2,496)	3,078
Opening balance		624,110	195,228	819,338	615,353	115,339	730,692
Net operating result for the year		14,935	–	14,935	7,335	–	7,335
Correction of prior period errors	G4-1	–	–	–	1,422	–	1,422
Net operating result for the period		14,935	–	14,935	8,757	–	8,757
Other comprehensive income							
Other movements to revaluation reserve		–	–	–	–	2,534	2,534
Gain (loss) on revaluation of infrastructure, property, plant and equipment	C1-7	–	34,436	34,436	–	79,889	79,889
Correction of error	G4-1	–	–	–	–	(2,534)	(2,534)
Other comprehensive income		–	34,436	34,436	–	79,889	79,889
Total comprehensive income		14,935	34,436	49,371	8,757	79,889	88,646
Closing balance at 30 June		639,045	229,664	868,709	624,110	195,228	819,338

(1) Refer to note G4-1 for prior period error

The above Statement of Changes in Equity should be read in conjunction with the accompanying notes.

Hilltops Council

Statement of Cash Flows

for the year ended 30 June 2024

Original unaudited budget 2024	\$ '000	Notes	Actual 2024	Actual 2023
Cash flows from operating activities				
Receipts:				
26,602	Rates and annual charges		26,949	25,042
19,592	User charges and fees		16,047	17,051
1,527	Interest received		2,360	1,100
36,819	Grants and contributions		50,054	36,259
–	Bonds, deposits and retentions received		22	17
1,179	Other		1,375	1,439
Payments:				
(21,578)	Payments to employees		(21,327)	(20,852)
(20,118)	Payments for materials and services		(27,505)	(26,551)
(398)	Borrowing costs		(446)	(489)
(5,993)	Other		(1,091)	(411)
37,632	Net cash flows from operating activities	G1-1	46,438	32,605
Cash flows from investing activities				
Receipts:				
900	Proceeds from sale of IPPE		854	628
–	Deferred debtors receipts		50	36
Payments:				
17,570	Acquisition of term deposits		(2,886)	(19,445)
(53,392)	Payments for IPPE		(31,200)	(23,293)
(34,922)	Net cash flows from investing activities		(33,182)	(42,074)
Cash flows from financing activities				
Receipts:				
1,620	Proceeds from borrowings		–	–
Payments:				
(1,757)	Repayment of borrowings		(1,801)	(1,840)
–	Principal component of lease payments		(21)	(21)
(137)	Net cash flows from financing activities		(1,822)	(1,861)
2,573	Net change in cash and cash equivalents		11,434	(11,330)
–	Cash and cash equivalents at beginning of year		9,481	20,811
2,573	Cash and cash equivalents at end of year	C1-1	20,915	9,481

The above Statement of Cash Flows should be read in conjunction with the accompanying notes.

Hilltops Council

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A About Council and these financial statements

A1-1 Basis of preparation

These financial statements were authorised for issue by Council on 31 October 2024. Council has the power to amend and reissue these financial statements in cases where critical information is received from public submissions or where the OLG directs Council to amend the financial statements.

The material accounting policy information (under AASB 2021-2) adopted in the preparation of these consolidated financial statements is set out below.

These policies have been consistently applied to all the years presented, unless otherwise stated.

These general purpose financial statements have been prepared in accordance with Australian Accounting Standards and Australian Accounting Interpretations, the *Local Government Act 1993 (Act)* and *Local Government (General) Regulation 2021 (Regulation)*, and the Local Government Code of Accounting Practice and Financial Reporting. Council is a not for-profit entity. The financial statements are presented in Australian dollars and are rounded to the nearest thousand dollars.

Historical cost convention

These financial statements have been prepared under the historical cost convention, as modified by the revaluation of certain infrastructure, property, plant and equipment and investment property.

Significant accounting estimates and judgements

The preparation of financial statements requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Council's accounting policies. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that may have a financial impact on the Council and that are believed to be reasonable under the circumstances.

Critical accounting estimates and assumptions

Council makes estimates and assumptions concerning the future.

The resulting accounting estimates will, by definition, seldom equal the related actual results.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year include:

- i. estimated fair values of infrastructure, property, plant and equipment – refer Note C1-7
- ii. estimated tip remediation provisions – refer Note C3-5
- iii. employee benefit provisions – refer Note C3-4.

Significant judgements in applying the Council's accounting policies

- i. Impairment of receivables – refer Note C1-4
- ii. Determination of whether performance obligations are sufficiently specific and whether the contract is within the scope of AASB 15 *Revenue from Contracts with Customers* and / or AASB 1058 *Income of Not-for-Profit Entities* – refer to Notes B2-2 – B2-4.

Monies and other assets received by Council

The Consolidated Fund

In accordance with the provisions of Section 409(1) of the Local Government Act 1993 (NSW), all money and property received by Council is held in the Council's Consolidated Fund unless it is required to be held in the Council's Trust Fund.

The Consolidated Fund has been included in the financial statements of the Council

Cash and other assets of the following entities have been included as part of the Consolidated Fund:

General purpose operations
 Water service
 Sewerage service
 Section 355 Committees of Council
 South West Regional Waste Management Group
 South West Rural Fire Service

A1-1 Basis of preparation (continued)

The Trust Fund

In accordance with the provisions of Section 411 of the *Local Government Act 1993 (NSW)* (as amended), a separate and distinct Trust Fund is maintained to account for all money and property received by the council in trust which must be applied only for the purposes of, or in accordance with, the trusts relating to those monies.

Trust monies and property subject to Council's control have been included in these reports.

Volunteer services

Council's Tourist centre and community operations use volunteers to assist in their operation. The inconsistency and variability of times worked provides these activities with assistance when required. The value of volunteer labour is considered not material due to the use being minor or not reliably measurable.

New accounting standards and interpretations issued but not yet effective

New accounting standards and interpretations issued but not yet effective

Certain new accounting standards and interpretations have been published that are not mandatory for the 30 June 2024 reporting period. Council has not applied any pronouncements before its operative date in the annual reporting period beginning 1 July 2023.

As at the date of authorisation of these financial statements Council does not consider that any of these new (and still to be applied) standards and interpretations are likely to have a material impact on the Council's future financial statements, financial position, financial performance or cash flows.

New accounting standards adopted during the year

The following new standard is effective for the first time at 30 June 2024:

- **AASB 2021-2 Amendments to Australian Accounting Standards – Disclosure of Accounting Policies and Definition of Accounting Estimates.**

The most significant change introduced by this standard is to remove the requirement to disclose significant accounting policies and instead require disclosure of material accounting policy information.

“Accounting policy information is material if, when considered together with other information included in an entity's financial statements, it can reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements.”

In applying the new requirements, Council has after taking into account the various specific facts and circumstances applied professional judgement to ensure it discloses only material accounting policies as opposed to significant accounting policies throughout these financial statements.

B Financial Performance

B1 Functions or activities

B1-1 Functions or activities – income, expenses and assets

Income, expenses and assets have been directly attributed to the following functions or activities. Details of those functions or activities are provided in Note B1-2.

	Income		Expenses		Operating result		Grants and contributions		Carrying amount of assets	
	2024	2023	2024	2023 ² Restated	2024	2023 ² Restated	2024	2023	2024	2023 ² Restated
\$ '000										
Functions or activities ¹										
Governance	543	95	1,893	1,901	(1,350)	(1,806)	–	–	2,214	2,117
Administration	3,071	1,805	3,390	5,621	(319)	(3,816)	482	130	116,773	104,260
Compliance	698	782	1,409	1,344	(711)	(562)	643	714	4,781	4,608
Planning and Development	832	729	2,372	1,939	(1,540)	(1,210)	744	23	24	23
Environment	7,537	6,790	10,861	8,368	(3,324)	(1,578)	2,734	2,195	48,589	48,468
Community Services	227	589	3,837	3,579	(3,610)	(2,990)	25	32	63,362	60,577
Water Supplies	11,031	8,665	9,231	7,586	1,800	1,079	604	21	79,764	76,143
Sewerage Supplies	5,712	4,935	4,216	3,499	1,496	1,436	211	25	71,563	66,785
Recreation and culture	4,503	723	7,125	5,463	(2,622)	(4,740)	4,484	1,000	126,540	123,043
Transport	27,877	25,075	26,230	27,219	1,647	(2,144)	19,092	18,307	380,513	358,680
Destination and Economy	1,368	813	2,840	3,131	(1,472)	(2,318)	636	34	30,420	29,088
General purpose Income	24,940	27,406	–	–	24,940	27,406	9,532	12,637	–	–
Total functions and activities	88,339	78,407	73,404	69,650	14,935	8,757	39,187	35,118	924,543	873,792

(1) Council changed its reporting structure this year. see details in Note B1-2

(2) Refer to note G4-1 for prior period error

B1-2 Components of functions or activities

Details relating to the Council's functions or activities as reported in B1-1 are as follows:

Governance

Includes costs relating to Council's role as a component of democratic government, including elections, members fees and expenses, subscriptions to local authority associations, meetings of Council and policy-making committees, public disclosure (e.g. GIPA), and legislative compliance.

Administration

Includes corporate support and other support services, engineering works, emergency services and any Council policy compliance.

Compliance

Includes enforcement of regulations, health and animal control.

Planning and Development

Includes town planning and building control

Environment

Includes emerging weeds and insect/vermin control; other environmental protection; solid waste management, including domestic waste; other waste management; other sanitation; and garbage, street cleaning, drainage quarries and stormwater management.

Community services

Includes administration and education; social protection (welfare); migrant, Aboriginal and other community services and administration, youth services; aged and disabled persons services; and children services. Also Includes cemeteries, public conveniences and other amenities.

Water supplies

Includes the provision of water to customers.

Sewerage supplies

Includes the provision of a sewerage service.

Recreation and culture

Includes public libraries; museums; art galleries; community centres and halls, including public halls and performing arts venues; sporting grounds and venues; swimming pools; parks; gardens; and other sporting, recreational and cultural services.

Transport

Urban local, urban regional, includes sealed and unsealed roads, bridges, footpaths, parking areas, street lighting quarries and pits and aerodromes.

Destination and Economy

Includes camping areas and caravan parks; tourism and area promotion; industrial development promotion; saleyards and markets; real estate development; and other business undertakings.

Changes to Reporting Structure this year.

- Emergency services moved from Public Order and Safety to Administration
- Enforcement of regulations and animal control moves from Public Order and Safety to Compliance
- Health moved to Compliance
- Community Services and Education is now Community Services
- Public cemeteries, conveniences and aged persons, disabled persons, migrants and indigenous persons moved from Housing and Community Services to Community Services
- Street Lighting moved from Housing and Community Amenities to Transport.
- Town Planning moved from Housing and Community Amenities to Planning and Development
- Building control moved from Mining Manufacturing and construction to Planning and Development
- Quarries and Pits moved from Mining, Manufacturing and construction to Transport
- Transport and Communication now called Transport
- Economic Affairs now called Destination and Economy.

B2 Sources of income

B2-1 Rates and annual charges

\$ '000	2024	2023
Ordinary rates		
Residential	5,560	5,380
Farmland	7,666	7,393
Business	1,411	1,363
Mining	22	21
Less: pensioner rebates (mandatory)	(328)	(328)
Rates levied to ratepayers	14,331	13,829
Pensioner rate subsidies received	184	177
Total ordinary rates	14,515	14,006
Annual charges (pursuant to s496, 496A, 496B, 501 & 611)		
Domestic waste management services	2,807	2,661
Stormwater management services	122	122
Water supply services	3,705	3,511
Waste management services (non-domestic)	53	51
Section 611 charges	–	8
Sewerage services	5,084	4,793
Recycling	307	292
Greenwaste	279	278
Less: pensioner rebates (mandatory)	(385)	(381)
Annual charges levied	11,972	11,335
Pensioner annual charges subsidies received:		
– Water	73	70
– Sewerage	61	59
– Domestic waste management	82	78
Total annual charges	12,188	11,542
Total rates and annual charges	26,703	25,548
Timing of revenue recognition for rates and annual charges		
Rates and annual charges recognised over time	26,703	25,548
Total rates and annual charges	26,703	25,548

Council has used 2022 year valuations provided by the NSW Valuer General in calculating its rates.

Material accounting policy information

Rates and annual charges are recognised as revenue at the beginning of the rating period to which they relate. Prepaid rates are recognised as a financial liability until the beginning of the rating period.

Pensioner rebates relate to reductions in rates and certain annual charges for eligible pensioners' place of residence in the local government council area.

Pensioner rate subsidies are received from the NSW Government to provide a contribution towards the pensioner rebates and are recognised within the underlying revenue item based on their substance.

B2-2 User charges and fees

\$ '000	2024	2023
Specific user charges (per s502 - specific 'actual use' charges)		
Waste management services (non-domestic)	75	52
Water supply services	5,457	4,504
Total specific user charges	5,532	4,556
Other user charges and fees		
(i) Fees and charges – statutory and regulatory functions (per s608)		
Inspection services	134	95
Planning and building regulation	586	504
Private works – section 67	203	266
Regulatory/ statutory fees	11	11
Section 149 certificates (EPA Act)	62	63
Section 603 certificates	57	79
Town planning	2	8
Animal	9	7
Total fees and charges – statutory/regulatory	1,064	1,033
(ii) Fees and charges – other (incl. general user charges (per s608))		
Cemeteries	356	413
Waste disposal tipping fees	1,032	959
Caravan park	150	205
Gravel pits	21	30
Leaseback fees – Council vehicles / Rental Properties	100	175
Library and art gallery	4	6
Park rents	38	37
Transport for NSW works (state roads not controlled by Council)	8,521	7,126
Swimming centres	68	62
Water connection fees	106	55
Truckwash	9	13
Septic tank fees	–	10
Sewer plan fees	35	32
Sewer connection fees	41	11
Other	98	26
Total fees and charges – other	10,579	9,160
Total other user charges and fees	11,643	10,193
Total user charges and fees	17,175	14,749
Timing of revenue recognition for user charges and fees		
User charges and fees recognised over time	2,920	3,066
User charges and fees recognised at a point in time	14,255	11,683
Total user charges and fees	17,175	14,749

Material accounting policy information

Revenue arising from user charges and fees is recognised when or as the performance obligation is completed and the customer receives the benefit of the goods / services being provided.

The performance obligation relates to the specific services which are provided to the customers and generally the payment terms are within 30 days of the provision of the service or in some cases such as caravan parks, the customer is required to pay on arrival or a deposit in advance. There is no material obligation for Council in relation to refunds or returns.

Where an upfront fee is charged such as joining fees for the leisure centre the fee is recognised on a straight-line basis over the expected life of the membership.

Licences granted by Council are all either short-term or low value and all revenue from licences is recognised at the time that the licence is granted rather than over the term of the licence.

B2-3 Other revenues

\$ '000	2024	2023
Fines – parking	–	1
Fines – other	7	12
Legal fees recovery – rates and charges (extra charges)	196	98
Commissions and agency fees	67	39
Diesel rebate	215	309
Insurance claims recoveries	252	–
Legal fees recovery – other	27	19
Sales – general	142	108
Other	6	61
Insurance incentives and rebates	10	32
Sale of scrap metal	31	98
Events committees	194	88
Sale of garbage bins	21	22
Worker health and safety incentives	59	51
Workers compensation reimbursement	218	205
Total other revenue	1,445	1,143

Timing of revenue recognition for other revenue

Other revenue recognised over time	–	–
Other revenue recognised at a point in time	1,445	1,143
Total other revenue	1,445	1,143

Material accounting policy information for other revenue

Where the revenue is earned for the provision of specified goods / services under an enforceable contract, revenue is recognised when or as the obligations are satisfied.

Statutory fees and fines are recognised as revenue when the service has been provided, the payment is received or when the penalty has been applied, whichever occurs first.

Other revenue is recorded when the payment is due, the value of the payment is notified, or the payment is received, whichever occurs first.

B2-4 Grants and contributions

\$ '000	Operating 2024	Operating 2023	Capital 2024	Capital 2023
General purpose grants and non-developer contributions (untied)				
General purpose (untied)				
Current year allocation				
Financial assistance – general component	296	1,673	–	–
Financial assistance – local roads component	159	901	–	–
Payment in advance - future year allocation				
Financial assistance – local roads component	3,124	3,520	–	–
Financial assistance – general component	5,953	6,542	–	–
Amount recognised as income during current year	9,532	12,636	–	–
Special purpose grants and non-developer contributions (tied)				
Cash contributions				
Previously specific grants:				
Water supplies	72	(108)	–	–
Library – special projects	–	–	175	48
Recreation and culture	300	–	761	736
Storm/flood damage	422	4,340	1,878	264
Bushfire and emergency services	341	359	238	419
Employment and training programs	44	–	–	–
Environmental programs	–	1	–	–
Heritage and cultural	13	–	–	–
Library – per capita	97	65	–	–
LIRS subsidy	21	36	–	–
Noxious weeds	126	131	10	–
Street lighting	222	92	–	–
Transport (other roads and bridges funding)	–	–	4,179	8,005
Youth services	25	32	–	–
Stronger Community Funds	–	–	2,450	54
Regional roads repair program	–	–	3,151	898
Storm damaged roads	–	–	1,285	–
Roads to recovery	–	(347)	3,057	–
Other specific grants	19	11	340	106
Previously contributions:				
Other councils – joint works/services	2,264	2,124	–	–
Recreation and culture	–	15	1,729	–
Roads and bridges	–	–	619	–
Other contributions	94	77	–	–
Transport for NSW contributions (regional roads, block grant)	3,790	3,557	439	780
Water supplies (excl. section 64 contributions)	206	–	100	–
Total special purpose grants and non-developer contributions – cash	8,056	10,385	20,411	11,310
Total special purpose grants and non-developer contributions (tied)	8,056	10,385	20,411	11,310
Total grants and non-developer contributions	17,588	23,021	20,411	11,310

B2-4 Grants and contributions (continued)

\$ '000	Operating 2024	Operating 2023	Capital 2024	Capital 2023
Comprising:				
– Commonwealth funding	9,532	13,298	3,058	–
– State funding	7,925	8,695	17,255	11,222
– Other funding	131	1,028	98	88
	17,588	23,021	20,411	11,310

B2-4 Grants and contributions (continued)

Developer contributions

\$ '000	Notes	Operating 2024	Operating 2023	Capital 2024	Capital 2023
Developer contributions:					
(s7.4 & s7.11 - EP&A Act, s64 of the LGA):					
Cash contributions	G5				
S 7.11 – contributions towards amenities/services		73	–	208	10
S 64 – sewerage service contributions		–	–	212	25
S 7.4 – contributions using planning agreements		–	–	299	320
S 7.12 – fixed development consent levies		–	–	170	346
S 64 – water supply contributions		–	–	226	86
Total developer contributions – cash		73	–	1,115	787
Total developer contributions		73	–	1,115	787
Total contributions		73	–	1,115	787
Total grants and contributions		17,661	23,021	21,526	12,097
Timing of revenue recognition for grants and contributions					
Grants and contributions recognised over time		4,399	22,660	19,529	2,583
Grants and contributions recognised at a point in time		13,262	361	1,997	9,514
Total grants and contributions		17,661	23,021	21,526	12,097

B2-4 Grants and contributions (continued)

Unspent grants and contributions

Certain grants and contributions are obtained by Council on the condition they be spent in a specified manner or in a future period but which are not yet spent in accordance with those conditions are as follows:

\$ '000	Operating 2024	Operating 2023	Capital 2024	Capital 2023
Grants				
Unspent funds at 1 July	137	563	–	–
Less: Funds received in prior year but revenue recognised and funds spent in current year	–	–	–	–
Add: Funds recognised as revenue in the reporting year but not yet spent in accordance with the conditions	76	13	–	–
Less: Funds recognised as revenue in previous years that have been spent during the reporting year	(121)	(439)	–	–
Unspent funds at 30 June	92	137	–	–
Contributions				
Unspent funds at 1 July	–	–	5,579	4,739
Add: contributions recognised as revenue in the reporting year but not yet spent in accordance with the conditions	–	–	1,469	862
Less: contributions recognised as revenue in previous years that have been spent during the reporting year	–	–	(651)	(22)
Unspent funds at 30 June	–	–	6,397	5,579

Council has contributions under S7.11 and S7.12 that will be spent in the future in accordance with Councils adopted contributions plan.

Material accounting policy information

Grants and contributions – enforceable agreement with sufficiently specific performance obligations

Grant and contribution revenue from an agreement which is enforceable and contains sufficiently specific performance obligations is recognised as or when control of each performance obligations is transferred.

The performance obligations vary according to the agreement but include the provision of road and recreation assets. Payment terms vary depending on the terms of the grant, cash is received upfront for some grants and on the achievement of certain payment milestones for others.

Performance obligations may be satisfied either at a point in time or over time and this is reflected in the revenue recognition pattern. Point in time recognition occurs when the beneficiary obtains control of the goods / services at a single time (e.g. completion of the project when a report / outcome is provided), whereas over time recognition is where the control of the services is ongoing throughout the project (e.g. provision of community health services through the year).

Where control is transferred over time, generally the input methods being either costs or time incurred are deemed to be the most appropriate methods to reflect the transfer of benefit.

Capital grants

Capital grants received by Council under an enforceable contract for the acquisition or construction of infrastructure, property, plant and equipment to identified specifications which will be under Council's control on completion are recognised as revenue as and when the obligation to construct or purchase is completed.

For construction projects, this is generally as the construction progresses in accordance with costs incurred since this is deemed to be the most appropriate measure of the completeness of the construction project.

B2-4 Grants and contributions (continued)

For acquisitions of assets, the revenue is recognised when the asset is acquired and controlled by the Council.

Developer contributions

Council has obligations to provide facilities from contribution revenues levied on developers under the provisions of sections 7.4, 7.11 and 7.12 of the *Environmental Planning and Assessment Act 1979* (EP&A Act).

While Council generally incorporates these amounts as part of a Development Consents Order, such developer contributions are only recognised as income upon receipt by Council, due to the possibility that individual development consents may not be acted upon by the applicant and, accordingly, would not be payable to Council.

Developer contributions may only be expended for the purposes for which the contributions were required, but Council may apply contributions according to the priorities established in work schedules for the contribution plan.

Other grants and contributions

Assets, including cash, received from other grants and contributions are recognised at fair value when the asset is received. Council considers whether there are any related liability or equity items associated with the asset which are recognised in accordance with the relevant accounting standard.

Once the assets and liabilities have been recognised then income is recognised for any remaining asset value at the time that the asset is received.

B2-5 Interest and investment income

\$ '000	2024	2023
Interest on financial assets measured at amortised cost		
– Overdue rates and annual charges (incl. special purpose rates)	384	224
– Cash and investments	2,740	887
– Other	–	1
Total interest and investment income (losses)	3,124	1,112
Interest and investment income is attributable to:		
Unrestricted investments/financial assets:		
Overdue rates and annual charges (general fund)	176	104
General Council cash and investments	1,497	462
Restricted investments/funds – external:		
Developer contributions		
– Section 7.11	196	56
Water fund operations	714	248
Sewerage fund operations	406	139
Domestic waste management operations	30	18
South West Regional Waste Management Group	105	85
Total interest and investment income	3,124	1,112

B2-6 Other income

\$ '000	Notes	2024	2023
Rental income			
Other lease income			
Room/Facility Hire		705	609
Total other lease income		705	609
Total rental income	C2-2	705	609
Total other income		705	609

B3 Costs of providing services

B3-1 Employee benefits and on-costs

\$ '000	2024	2023
Salaries and wages	16,768	15,907
Travel expenses	29	43
Employee leave entitlements (ELE)	2,781	2,472
Superannuation	2,047	1,931
Workers' compensation insurance	1,566	1,285
Fringe benefit tax (FBT)	90	90
Payroll tax	150	120
Training costs (other than salaries and wages)	358	391
Protective clothing	65	82
WH&S expenses	16	40
Other	266	340
Total employee costs	24,136	22,701
Less: capitalised costs	(2,434)	(1,809)
Total employee costs expensed	21,702	20,892
Number of 'full-time equivalent' employees (FTE) at year end	222	222

Material accounting policy information

Employee benefit expenses are recorded when the service has been provided by the employee.

All employees of the Council are entitled to benefits on retirement, disability or death. Council contributes to various defined benefit plans and defined contribution plans on behalf of its employees.

Contributions to defined contribution plans are recognised as an expense as they become payable. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payments is available.

Council participates in a defined benefit plan under the Local Government Superannuation Scheme, however, sufficient information to account for the plan as a defined benefit is not available and therefore Council accounts for its obligations to defined benefit plans on the same basis as its obligations to defined contribution plans, i.e. as an expense when it becomes payable – refer to Note E3-1 for more information.

B3-2 Materials and services

\$ '000	Notes	2024	2023
Previously other expenses:			
Raw materials and consumables		2,454	4,310
Contractor costs		8,253	8,385
– RTA works		2,290	1,819
– Private works		169	346
– Security services		37	40
– IT support services		115	92
– Town planning		83	58
– Regional landfill receival charges		1,737	1,411
– Waste haulage		1,819	1,388
Audit Fees	F2-1	245	137
Advertising		85	93
Bank charges		85	105
Cost of sales		64	75
Computer software charges		83	40
Electricity and heating		955	687
Insurance		1,542	1,427
Office expenses (including computer expenses)		1	8
Postage		88	60
Printing and stationery		85	81
Street lighting		260	232
Subscriptions and publications		235	160
Telephone and communications		278	262
Other expenses		467	267
Councillor and Mayoral fees and associated expenses	F1-2	258	181
– South Western rural fire zone		67	–
Valuation fees – land rates		194	97
Licence fees		104	71
Lease property		90	50
Promotion and trade fairs		40	16
Legal expenses:			
Expenses from short-term leases		22	21
– Legal expenses: planning and development		41	20
– Legal expenses: other		232	104
Water acquisition costs		1,067	1,074
Water purchase		3,405	3,485
Total materials and services		26,950	26,602
Total materials and services		26,950	26,602

B3-3 Borrowing costs

\$ '000	Notes	2024	2023 ¹ Restated
(i) Interest bearing liability costs			
Interest on leases		1	1
Interest on loans		425	485
Total interest bearing liability costs		426	486
Total interest bearing liability costs expensed		426	486
(ii) Other borrowing costs			
Discount adjustments relating to movements in provisions (other than ELE)			
– Remediation liabilities	C3-5	511	372
Total other borrowing costs		511	372
Total borrowing costs expensed		937	858

(1) Refer to note G4-1 for prior period error

B3-4 Depreciation, amortisation and impairment of non-financial assets

\$ '000	Notes	2024	2023 ¹ Restated
Depreciation and amortisation			
Plant and equipment		2,308	2,100
Office equipment		163	106
Furniture and fittings		24	24
Land improvements (depreciable)		44	43
Infrastructure:	C1-7		
– Buildings		4,808	3,629
– Other structures		567	540
– Roads		8,715	8,149
– Bridges		810	736
– Footpaths		172	160
– Stormwater drainage		364	338
– Water supply network		1,506	1,477
– Sewerage network		1,549	1,468
– Swimming pools		319	288
– Other open space/recreational assets		473	435
Right of use assets	C2-1	21	22
Other assets:			
– Library books		51	50
Reinstatement, rehabilitation and restoration assets:			
– Tip assets	C3-5,C1-7	460	460
– Quarry assets	C3-5,C1-7	80	80
Total gross depreciation and amortisation costs		22,434	20,105
Total depreciation and amortisation costs		22,434	20,105
Total depreciation, amortisation and impairment for non-financial assets		22,434	20,105

B3-4 Depreciation, amortisation and impairment of non-financial assets (continued)

Material accounting policy information

Depreciation and amortisation

Depreciation and amortisation are calculated using the straight line method to allocate their cost, net of their residual values, over their estimated useful lives. Useful lives are included in Note C1-7 for IPPE assets.

Impairment of non-financial assets

Council assets held at fair value that are not held primarily for their ability to generate net cash flow, and that are deemed to be specialised, are not tested for impairment since these assets are assessed on an annual basis to ensure that the carrying amount is not materially different from fair value and therefore an impairment loss would be captured during this assessment.

Other non-financial assets that do not meet the criteria above are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows that are largely independent of the cash inflows from other assets or groups of assets (cash-generating units).

Impairment losses for revalued assets are firstly offset against the amount in the revaluation surplus for the class of asset, with only the excess to be recognised in the Income Statement.

(1) Refer to note G4-1 for prior period error

B3-5 Other expenses

\$ '000	Notes	2024	2023
Impairment of receivables			
Rates and annual charges		1	72
User charges and fees		14	–
Total impairment of receivables	C1-4	15	72
Other			
Contributions/levies to other levels of government			
– Emergency services levy (includes FRNSW, SES, and RFS levies)		932	962
– Other contributions/levies		5	6
Donations, contributions and assistance to other organisations (Section 356)		65	80
– ROC membership		29	26
– Shires Association		51	47
Total other		1,082	1,121
Total other expenses		1,097	1,193

Material accounting policy information

Other expenses are recorded on an accruals basis when Council has an obligation for the expenses.

Impairment expenses are recognised when identified.

B4 Gains or losses**B4-1 Gain or loss from the disposal, replacement and de-recognition of assets**

\$ '000	Notes	2024	2023
Gain (or loss) on disposal of plant and equipment	C1-7		
Proceeds from disposal – plant and equipment		843	628
Less: carrying amount of plant and equipment assets sold/written off		(534)	(415)
Gain (or loss) on disposal		309	213
Gain (or loss) on disposal of infrastructure	C1-7		
Proceeds from disposal – infrastructure		11	–
Less: carrying amount of infrastructure assets sold/written off		(604)	(85)
Gain (or loss) on disposal		(593)	(85)
Net gain (or loss) from disposal of assets		(284)	128

B5 Performance against budget

B5-1 Material budget variations

Council's original budget was adopted by the Council on 28 June 2023 and is not required to be audited. The original projections on which the budget was based have been affected by a number of factors. These include state and federal government decisions, including new grant programs, changing economic activity, environmental factors, and by decisions made by Council.

While these General Purpose Financial Statements include the original budget adopted by Council, the Act requires Council to review its financial budget on a quarterly basis, so it is able to manage the variation between actuals and budget that invariably occur during the year.

Material variations of more than 10% between original budget and actual results or where the variance is considered material by nature are explained below.

Variation Key: **F** = Favourable budget variation, **U** = Unfavourable budget variation.

\$ '000	2024 Budget	2024 Actual	2024 ----- Variance -----	
Revenues				
User charges and fees	19,592	17,175	(2,417)	(12)% U
Council originally budgeted for RMCC works of \$10.5M. The actual for year was \$8.5M or \$2M short of budget.				
Other revenues	–	1,445	1,445	∞ F
These funds were originally budgeted as other income. Additionally, some further revenues of \$300k were recorded for insurance claim revenues.				
Operating grants and contributions	15,144	17,661	2,517	17% F
Councils original budget included flood restoration works of \$1.9M. During the year, Council completed works totalling \$3.7M, a \$1.8M difference. Council also received a \$300K grant for finalisation of the cultural and community centre which was not included in the original budget.				
Interest and investment revenue	1,527	3,124	1,597	105% F
Interest rates have risen significantly between the adoption of Councils budget in June 2023 and June 2024. These increases and additional fees and charges and grants have provided a \$1.5M increase in investment revenue.				
Net gains from disposal of assets	–	–	–	∞ F
Other income	1,179	705	(474)	(40)% U
As per "Other revenues" above, approx 700k of this budget should have been recorded as other revenues.				

B5-1 Material budget variations (continued)

\$ '000	2024 Budget	2024 Actual	2024 ----- Variance -----	
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Expenses

Materials and services	20,118	26,950	(6,832)	(34)%	U
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\$4.5M of costs were budgeted as other expenses that should have been included in materials and services. Additionally as per operating grants above, additional materials and services costs of \$1.5M were incurred to complete flood restorations.

Borrowing costs	398	937	(539)	(135)%	U
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Council did not budget 700k for discounting the remediation provision in 23/24.

Depreciation, amortisation and impairment of non-financial assets	19,775	22,434	(2,659)	(13)%	U
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Councils original budget was based on asset values as at May 2023. Indexations of over \$80M in the 22/23 year increased depreciation costs in the current year by \$2.5M

Other expenses	5,993	1,097	4,896	82%	F
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Council's original budget included \$4.5M of expenses that should have been allocated to materials and services.

Net losses from disposal of assets	—	284	(284)	∞	U
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Council did not expect or forecast any losses on disposal of assets.

Statement of cash flows

Cash flows from investing activities	(34,922)	(33,182)	1,740	(5)%	F
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Net cash outflows of \$35M were originally budgeted for. Council acknowledged that it could not complete the capital program and reduced the budget at quarterly reviews by over \$6M.

Cash flows from financing activities	(137)	(1,822)	(1,685)	1,230%	U
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Council did not borrow the \$1.6M originally budgeted. The funding was changed to grants and reserves.

C Financial position

C1 Assets we manage

C1-1 Cash and cash equivalents

\$ '000	2024	2023
Cash assets		
Cash on hand and at bank	15,757	8,345
Cash equivalent assets		
– Short-term deposits	5,158	1,136
Total cash and cash equivalents	20,915	9,481

Reconciliation of cash and cash equivalents

Total cash and cash equivalents per Statement of Financial Position	20,915	9,481
Balance as per the Statement of Cash Flows	20,915	9,481

C1-2 Financial investments

\$ '000	2024 Current	2024 Non-current	2023 Current	2023 Non-current
Debt securities at amortised cost				
Term deposits	43,103	–	40,217	–
Total	43,103	–	40,217	–
Total financial investments	43,103	–	40,217	–
Total cash assets, cash equivalents and investments	64,018	–	49,698	–

Material accounting policy information

Financial instruments are recognised initially on the date that the Council becomes party to the contractual provisions of the instrument.

On initial recognition, all financial instruments are measured at fair value plus transaction costs (except for instruments measured at fair value through profit or loss where transaction costs are expensed as incurred).

Financial assets

All recognised financial assets are subsequently measured in their entirety at either amortised cost or fair value, depending on the classification of the financial assets.

Classification

On initial recognition, Council classifies its financial assets into the following categories – those measured at:

- amortised cost
- fair value through profit and loss (FVTPL)
- fair value through other comprehensive income – equity instrument (FVOCI-equity)

Financial assets are not reclassified subsequent to their initial recognition.

Amortised cost

Council's financial assets measured at amortised cost comprise trade and other receivables, term deposits and cash and cash equivalents in the Statement of Financial Position. Term deposits with an initial term of more than 3 months are classified as investments rather than cash and cash equivalents. Subsequent to initial recognition, these assets are carried at amortised cost using the effective interest rate method less provision for impairment.

Interest income, impairment and gains or loss on de-recognition are recognised in profit or loss.

C1-3 Restricted and allocated cash, cash equivalents and investments

\$ '000	2024	2023
(a) Externally restricted cash, cash equivalents and investments		
Total cash, cash equivalents and investments	64,018	49,698
Less: Externally restricted cash, cash equivalents and investments	(39,161)	(38,919)
Cash, cash equivalents and investments not subject to external restrictions	24,857	10,779

External restrictions

External restrictions – included in liabilities

External restrictions included in cash, cash equivalents and investments above comprise:

Specific purpose unexpended loans – general	71	71
Specific purpose unexpended loans – water	331	331
Specific purpose unexpended loans – sewer	465	467
Specific purpose unexpended grants – general fund	92	137
External restrictions – included in liabilities	959	1,006

External restrictions – other

External restrictions included in cash, cash equivalents and investments above comprise:

Developer contributions – general	4,438	4,144
Developer contributions – water fund	1,491	1,199
Developer contributions – sewer fund	468	236
Water fund	17,429	17,457
Sewer fund	10,104	8,225
Stormwater management	656	626
Regional waste group	3,194	5,620
Regional fire zone	53	37
Other contributions	21	21
Other	216	216
Domestic waste management	132	132
External restrictions – other	38,202	37,913
Total external restrictions	39,161	38,919

Cash, cash equivalents and investments subject to external restrictions are those which are only available for specific use by Council due to a restriction placed by legislation or third-party contractual agreement.

\$ '000	2024	2023
(b) Internal allocations		
Cash, cash equivalents and investments not subject to external restrictions	24,857	10,779
Less: Internally restricted cash, cash equivalents and investments	(6,378)	(7,460)
Unrestricted and unallocated cash, cash equivalents and investments	18,479	3,319

C1-3 Restricted and allocated cash, cash equivalents and investments (continued)

\$ '000	2024	2023
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Internal allocations

At 30 June, Council has internally allocated funds to the following:

Plant and vehicle replacement	2,679	1,723
Employees leave entitlement	2,461	2,275
Implementation Funding	–	162
Stronger Councils Funds	509	2,571
Quarries and pit restoration	729	729
Total internal allocations	6,378	7,460

Cash, cash equivalents and investments not subject to external restrictions may be internally allocated by resolution or policy of the elected Council.

\$ '000	2024	2023
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(c) Unrestricted and unallocated

Unrestricted and unallocated cash, cash equivalents and investments	18,479	3,319
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C1-4 Receivables

\$ '000	2024 Current	2024 Non-current	2023 Current	2023 Non-current
Rates and annual charges	3,642	–	3,889	–
Interest and extra charges	284	–	214	–
User charges and fees	3,806	–	2,595	–
Accrued revenues				
– Interest on investments	704	–	10	–
– Other income accruals	1,295	–	639	–
Deferred debtors	–	158	–	208
Net GST receivable	676	–	568	–
Other debtors	14	–	3	–
Total	10,421	158	7,918	208
Less: provision for impairment				
Rates and annual charges	(4)	–	(4)	–
User charges and fees	(165)	–	(165)	–
Total provision for impairment – receivables	(169)	–	(169)	–
Total net receivables	10,252	158	7,749	208
Externally restricted receivables				
Water supply				
– Rates and availability charges	634	–	610	–
– Other	2,527	127	1,814	178
Sewerage services				
– Rates and availability charges	759	–	756	–
– Other	82	1	40	1
Domestic waste management	362	–	389	–
Total external restrictions	4,364	128	3,609	179
Unrestricted receivables	5,888	30	4,140	29
Total net receivables	10,252	158	7,749	208

\$ '000	2024	2023
Movement in provision for impairment of receivables		
Balance at the beginning of the year	169	169
+ new provisions recognised during the year	–	72
Impairment loss recognised	–	(72)
Balance at the end of the year	169	169

Material accounting policy information

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment. Receivables are generally due for settlement within 30 days.

Impairment

Impairment of financial assets measured at amortised cost is recognised on an expected credit loss (ECL) basis.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition, and when estimating ECL, the Council considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis based on Council's historical experience and informed credit assessment, and including forward-looking information.

C1-4 Receivables (continued)

When considering the ECL for rates debtors, Council takes into account that unpaid rates represent a charge against the rateable property that will be recovered when the property is next sold. For non-rates debtors, Council uses the presumption that an asset which is more than 90 days past due has seen a significant increase in credit risk.

The Council uses the presumption that a financial asset is in default when:

- the other party is unlikely to pay its credit obligations to the Council in full, without recourse by the Council to actions such as realising security (if any is held) or
- the financial assets (for non-rates debtors) are more than 90 days past due.

Credit losses are measured as the present value of the difference between the cash flows due to the entity in accordance with the contract, and the cash flows expected to be received. This is applied using a probability weighted approach.

On initial recognition of the asset, an estimate of the expected credit losses for the next 12 months is recognised. Where the asset has experienced significant increase in credit risk then the lifetime losses are estimated and recognised.

Council uses the simplified approach for trade receivables where the expected lifetime credit losses are recognised on day 1.

There has been no change in the estimation techniques or significant assumptions made during the current reporting period.

The Council writes off a trade receivable when there is information indicating that the debtor is in severe financial difficulty and there is no realistic prospect of recovery, e.g. when the debtor has been placed under liquidation or has entered into bankruptcy proceedings, or when the receivables are over 2 years past due, whichever occurs first.

None of the receivables that have been written off are subject to enforcement activity.

Where the Council renegotiates the terms of receivables due from certain customers, the new expected cash flows are discounted at the original effective interest rate and any resulting difference to the carrying value is recognised in profit or loss.

Rates and annual charges outstanding are secured against the property.

C1-5 Inventories

\$ '000	2024 Current	2024 Non-current	2023 Current	2023 Non-current
(i) Inventories at cost				
Real estate for resale	123	–	123	–
Stores and materials	1,593	–	1,036	–
Trading stock	12	–	12	–
Total inventories at cost	1,728	–	1,171	–
Total inventories	1,728	–	1,171	–

(i) Other disclosures

\$ '000	2024 Current	2024 Non-current	2023 Current	2023 Non-current
(a) Details for real estate development				
Residential	123	–	123	–
Total real estate for resale	123	–	123	–
(Valued at the lower of cost and net realisable value)				
Represented by:				
Acquisition costs	15	–	15	–
Development costs	108	–	108	–
Total costs	123	–	123	–
Total real estate for resale	123	–	123	–
Movements:				
Real estate assets at beginning of the year	123	–	123	–
Total real estate for resale	123	–	123	–

Material accounting policy information

Land held for resale

Land held for resale is stated at the lower of cost and net realisable value. Cost is assigned by specific identification and includes the cost of acquisition, and development and borrowing costs during development. When development is completed, borrowing costs and other holding charges are expensed as incurred.

Borrowing costs included in the cost of land held for resale are those costs that would have been avoided if the expenditure on the acquisition and development of the land had not been made. Borrowing costs incurred while active development is interrupted for extended periods are recognised as expenses.

C1-6 Contract assets and Contract cost assets

\$ '000	2024 Current	2024 Non-current	2023 Current	2023 Non-current
Contract assets	4,209	—	12,852	—
Total contract assets and contract cost assets	4,209	—	12,852	—

Contract assets

Other	4,209	—	12,852	—
Total contract assets	4,209	—	12,852	—

Significant changes in contract assets

Council completed works on roads during the 2022/23 year and issued invoices in the 2023/24 financial year.

C1-7 Infrastructure, property, plant and equipment

By aggregated asset class	At 1 July 2023 ²			Asset movements during the reporting period								At 30 June 2024		
	Gross carrying amount ² Restated	Accumulated depreciation and impairment ² Restated	Net carrying amount ² Restated	Additions renewals ¹	Additions new assets	Carrying value of disposals	Depreciation expense	WIP transfers	Adjustments and transfers	Impairment Loss/Revalu ation decrements to equity (ARR)	Revaluation increments to equity (ARR)	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount
\$ '000														
Capital work in progress	10,245	–	10,245	–	3,870	–	–	(9,794)	–	–	–	4,321	–	4,321
Plant and equipment	26,455	(15,605)	10,850	4,279	49	(534)	(2,308)	–	–	–	–	28,613	(16,277)	12,336
Office equipment	1,117	(501)	616	87	157	–	(163)	–	–	–	–	1,361	(664)	697
Furniture and fittings	442	(256)	186	–	–	–	(24)	–	–	–	–	442	(280)	162
Land:														
– Operational land	8,749	–	8,749	–	20	–	–	–	–	–	330	9,099	–	9,099
– Community land	13,269	–	13,269	–	–	–	–	–	–	–	–	13,269	–	13,269
Land improvements – non-depreciable	71	–	71	–	–	–	–	–	–	–	–	71	–	71
Land improvements – depreciable	1,326	(117)	1,209	–	–	–	(44)	–	–	–	–	1,326	(161)	1,165
Infrastructure:														
– Buildings	153,171	(73,226)	79,945	120	320	–	(4,808)	57	556	–	4,839	165,103	(84,074)	81,029
– Other structures	16,709	(5,227)	11,482	–	–	–	(567)	–	(4,577)	–	386	10,228	(3,503)	6,725
– Roads	507,276	(182,232)	325,044	15,325	–	(20)	(8,715)	–	1,138	(861)	15,432	546,558	(199,216)	347,342
– Bridges	81,774	(34,871)	46,903	775	–	(583)	(810)	7,652	–	–	2,163	92,566	(36,466)	56,100
– Footpaths	12,847	(3,485)	9,362	264	–	–	(172)	–	861	–	515	15,147	(4,317)	10,830
– Bulk earthworks (non-depreciable)	149,318	–	149,318	–	–	–	–	–	–	–	6,943	156,261	–	156,261
– Stormwater drainage	33,257	(19,612)	13,645	1,041	–	–	(364)	–	83	–	648	36,092	(21,040)	15,052
– Water supply network	103,319	(56,856)	46,463	1,246	425	–	(1,506)	26	–	–	2,356	110,254	(61,244)	49,010
– Sewerage network	95,640	(46,411)	49,229	233	32	–	(1,549)	8	–	–	2,496	100,762	(50,312)	50,450
– Swimming pools	16,340	(5,982)	10,358	1,411	–	–	(319)	234	(406)	(2,937)	–	13,679	(5,338)	8,341
– Other open space/recreational assets	18,902	(7,111)	11,791	363	1,182	–	(473)	1,817	2,345	–	2,126	26,535	(7,384)	19,151
Other assets:														
– Library books	255	(143)	112	–	–	–	(51)	–	–	–	–	162	(101)	61
Reinstatement, rehabilitation and restoration assets (refer Note C3-5):														
– Quarry assets	1,127	(501)	626	–	–	–	(80)	–	–	–	–	1,127	(581)	546
– Tip assets	4,423	(1,831)	2,592	–	–	–	(460)	–	–	–	–	4,423	(2,291)	2,132
Total infrastructure, property, plant and equipment	1,256,032	(453,967)	802,065	25,144	6,055	(1,137)	(22,413)	–	–	(3,798)	38,234	1,337,399	(493,249)	844,150

(1) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

(2) Refer to note G4-1 for prior period error

C1-7 Infrastructure, property, plant and equipment (continued)

By aggregated asset class	At 1 July 2022 ²			Asset movements during the reporting period							At 30 June 2023 ²		
	Gross carrying amount ² Restated	Accumulated depreciation and impairment ² Restated	Net carrying amount ² Restated	Additions renewals ¹	Additions new assets	Carrying value of disposals	Depreciation expense Restated	WIP transfers	Impairment Loss/Revaluation on decrements to equity (ARR)	Revaluation increments to equity (ARR)	Gross carrying amount ² Restated	Accumulated depreciation and impairment ² Restated	Net carrying amount ² Restated
\$ '000													
Capital work in progress	4,748	—	4,748	—	7,995	—	—	(2,498)	—	—	10,245	—	10,245
Plant and equipment	29,617	(18,149)	11,468	1,897	—	(415)	(2,100)	—	—	—	26,455	(15,605)	10,850
Office equipment	1,603	(1,099)	504	218	—	—	(106)	—	—	—	1,117	(501)	616
Furniture and fittings	808	(598)	210	—	—	—	(24)	—	—	—	442	(256)	186
Land:													
– Operational land	7,450	—	7,450	—	123	—	—	—	—	1,176	8,749	—	8,749
– Community land	7,597	—	7,597	—	—	—	—	—	—	5,672	13,269	—	13,269
Land improvements – non-depreciable	71	—	71	—	—	—	—	—	—	—	71	—	71
Land improvements – depreciable	1,326	(74)	1,252	—	—	—	(43)	—	—	—	1,326	(117)	1,209
Infrastructure:													
– Buildings	129,579	(66,663)	62,916	58	382	—	(7,258)	—	—	20,218	153,171	(73,226)	79,945
– Buildings – non-specialised	—	—	—	—	—	—	2,924	—	—	—	—	—	—
– Buildings – specialised	—	—	—	—	—	—	705	—	—	—	—	—	—
– Other structures	17,079	(6,253)	10,826	87	401	—	(540)	—	—	708	16,709	(5,227)	11,482
– Roads	469,427	(164,639)	304,788	8,266	166	(85)	(8,149)	—	(69)	20,127	507,276	(182,232)	325,044
– Bridges	74,609	(32,040)	42,569	35	—	—	(736)	2,472	(221)	2,784	81,774	(34,871)	46,903
– Footpaths	11,984	(3,121)	8,863	79	—	—	(160)	—	—	580	12,847	(3,485)	9,362
– Bulk earthworks (non-depreciable)	129,481	—	129,481	—	—	—	—	—	—	19,837	149,318	—	149,318
– Stormwater drainage	33,557	(20,856)	12,701	452	—	—	(338)	—	—	830	33,257	(19,612)	13,645
– Water supply network	93,914	(51,415)	42,499	2,144	20	—	(1,477)	—	—	3,277	103,319	(56,856)	46,463
– Sewerage network	88,606	(41,726)	46,880	203	—	—	(1,468)	—	—	3,614	95,640	(46,411)	49,229
– Swimming pools	15,317	(5,460)	9,857	118	—	—	(288)	26	—	645	16,340	(5,982)	10,358
– Other open space/recreational assets	17,449	(6,583)	10,866	109	540	—	(435)	—	—	711	18,902	(7,111)	11,791
Other assets:													
– Library books	815	(653)	162	—	—	—	(50)	—	—	—	255	(143)	112
Reinstatement, rehabilitation and restoration assets (refer Note C3-5):													
– Tip assets	4,423	(1,371)	3,052	—	—	—	(460)	—	—	—	4,423	(1,831)	2,592
– Quarry assets	1,127	(421)	706	—	—	—	(80)	—	—	—	1,127	(501)	626
Total infrastructure, property, plant and equipment	1,140,587	(421,121)	719,466	13,666	9,627	(500)	(20,083)	—	(290)	80,179	1,256,032	(453,967)	802,065

(1) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

(2) Refer to note G4-1 for prior period error

C1-7 Infrastructure, property, plant and equipment (continued)

Material accounting policy information

ASSET POLICY

Infrastructure, property, plant and equipment

Acquisition of assets

Council's non-current assets are continually revalued (over a 5-year period) in accordance with the fair valuation policy as mandated by the Office of Local Government.

At balance date, the following classes of I,PP&E were stated at their fair value:

- **Operational land**
(External Valuation as at 30/6/23 and reassessment 30/6/24)
- **Buildings**
(External Valuation as at 30/6/23 and reassessment 30/6/24)
- **Plant and equipment**
(Fair Value approximated by depreciated historical cost)
- **Roads assets including kerb and guttering**
(External Valuation as at 30/6/20 and indexation to 30/6/24)
- **Bridges**
(External Valuation as at 30/6/20 and indexation to 30/6/24)
- **Footpaths**
(External Valuation as at 30/6/20 and indexation to 30/6/24)
- **Bulk earthworks**
(External Valuation as at 30/6/20 and indexation to 30/6/24)
- **Stormwater drainage**
(External Valuation as at 30/6/20 and indexation to 30/6/24)
- **Community land**
(External Valuation as at 30/6/23)
- **Land improvements**
(External Valuation as at 30/6/23)
- **Water supply network**
(Internal Valuation as at 30/6/22 and indexation to 30/6/24)
- **Sewer network**
(Internal Valuation as at 30/6/22 and indexation to 30/6/24)
- **Open space recreation**
(External Valuation as at 30/6/24)
- **Swimming pools**
(External Valuation as at 30/6/24)
- **Other structures**
(External Valuation as at 30/6/24)
- **Library books**
(Fair Value approximated by depreciated historical cost)
- **Office equipment furniture & fittings**
(Fair Value approximated by depreciated historical cost)
- **Reinstatements - tips and quarries**
(External valuation 30/6/24)

C1-7 Infrastructure, property, plant and equipment (continued)

Initial recognition

Infrastructure, property, plant and equipment is measured initially at cost. Cost includes the fair value of the consideration given to acquire the asset (net of discounts and rebates) and any directly attributable cost of bringing the asset to working condition for its intended use (inclusive of import duties and taxes).

When infrastructure, property, plant and equipment is acquired by Council at significantly below fair value, the assets are initially recognised at their fair value at acquisition date.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to Council and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the Income Statement during the financial period in which they are incurred.

Subsequent costs

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to Council and the cost of the item can be measured reliably.

All other repairs and maintenance are charged to the income statement during the financial period in which they are incurred.

Asset revaluations (including indexation)

In accounting for asset revaluations relating to infrastructure, property, plant and equipment:

- increases in the combined carrying amounts of asset classes arising on revaluation are credited to the asset revaluation reserve,
- to the extent that a net asset class increase reverses a decrease previously recognised via the profit or loss, then increase is first recognised in profit or loss,
- net decreases that reverse previous increases of the same asset class are first charged against revaluation reserves directly in equity to the extent of the remaining reserve attributable to the asset, with all other decreases charged to the Income Statement.

Water and sewerage network assets are indexed annually between full revaluations in accordance with the latest indices provided by Department of Planning and Environment - Water. A complete internal valuation was completed at 30 June 2022.

For all other assets, Council assesses at each reporting date whether there is any indication that a revalued asset's carrying amount may differ materially from that which would be determined if the asset were revalued at the reporting date.

If any such indication exists, Council determines the asset's fair value and revalues the asset to that amount. Indexations to all infrastructure assets occurred as at 30 June 2024.

Full revaluations are undertaken for all assets on a 5-year cycle.

Capitalisation thresholds

Items of infrastructure, property, plant and equipment are not capitalised unless their cost of acquisition exceeds the following;

Land

- Operational land	100% Capitalised
- Community land	100% Capitalised
- Open space	100% Capitalised
- Land under roads (purchases after 30/6/08)	100% Capitalised
- Land Improvement	> \$5,000

Plant and Equipment

Plant & Equipment	> \$5,000
Office Furniture	> \$5,000
Office Equipment	> \$5,000

Building

- Buildings Specialised	> \$10,000
- Buildings Non-Specialised	> \$10,000
- Buildings Other	> \$5,000

Water Supply Network

Reticulation extensions	> \$5,000
Other	> \$5,000

C1-7 Infrastructure, property, plant and equipment (continued)

Sewer Network

Reticulation extensions	> \$5,000
Other	> \$5,000

Stormwater Assets

Drains and Culverts	> \$5,000
Other	> \$5,000

Road Assets

Road construction and reconstruction	> \$10,000
Bridge construction and reconstruction	> \$10,000
Footpaths	> \$5,000
Kerb & Gutter	> \$5,000

Other Infrastructure Assets

Swimming Pools	> \$5,000
Open Space/Recreational Assets	> \$5,000
Other Structures	> \$5,000

Remediation - Quarries & Tips

Library Books	> \$5,000
- Books & Equipment	> \$5,000

Depreciation

Depreciation on Council's infrastructure, property, plant and equipment assets is calculated using the straight-line method in order to allocate an asset's cost over its estimated useful life.

Land is not depreciated.

Estimated useful lives for Council's infrastructure, property, plant and equipment include:

Plant and Equipment

- Office Equipment	4 to 20 years
- Office furniture	4 to 25 years
- Computer Equipment	4 years
- Light Vehicles	4 to 10 years
- Heavy Plant/Road Making equip.	5 to 10 years
- Other plant and equipment	5 to 20 years

Other Equipment

- Playground equipment	10 to 100 years
- Benches, seats etc	10 to 20 years

Buildings

- Buildings Specialised	20 to 110 years
- Buildings Non-Specialised	20 to 100 years
- Buildings Other	20 to 100 years

Stormwater Drainage

- Drains	80 to 100 years
- Culverts	80 to 100 years

Road Assets

- Sealed Roads: Surface	20 to 100 years
- Sealed Roads: Structure	20 to 100 years
- Bridge: Concrete	70 to 100 years
- Footpaths	15 to 80 years
- Kerb & Gutter	50 to 100 years
- Bulk earthworks	Not Depreciated

C1-7 Infrastructure, property, plant and equipment (continued)

Water and Sewer Assets

- Dams and reservoirs	20 to 100 years
- Reticulation pipes	6 to 135 years
- Pumps and telemetry	13 to 80 years

Other Infrastructure Assets

- Bulk earthworks	Not Depreciated
- Swimming Pools	5 to 80 years
- Open Space Recreational Assets	5 to 100 years
- Other Structures	10 to 100 years

Quarries & Tips

3-5 Years

Library Books

- Books & Equipment	5 Years
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All asset values and useful lives are reviewed and adjusted (if appropriate) at each reporting date.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Disposal and derecognition

An item of property, plant and equipment is derecognised upon disposal or when no further future economic benefits are expected from its use or disposal.

Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in Council's Income Statement in the year the asset is derecognised.

Land

Land (other than land under roads) is in accordance with Part 2 of Chapter 6 of the *Local Government Act (1993)* classified as either operational or community.

Land under roads

Land under roads is land under roadways and road reserves, including land under footpaths, nature strips and median strips.

Council has elected not to recognise land under roads acquired before 1 July 2008 in accordance with AASB 1051.

Land under roads acquired after 1 July 2008 is recognised in accordance with AASB 116 – Property, Plant and Equipment.

Crown reserves

Crown reserves under Council's care and control are recognised as assets of the Council.

While ownership of the reserves remains with the Crown, Council retains operational control of the reserves and is responsible for their maintenance and use in accordance with the specific purposes to which the reserves are dedicated.

Improvements on Crown reserves are also recorded as assets, while maintenance costs incurred by Council and revenues relating to the reserves are recognised within Council's Income Statement.

Provisions for Restoration and for Environmental Clean-up Costs – including Tips and Quarries

Close down, restoration and remediation costs include the dismantling and demolition of infrastructure, the removal of residual materials and the remediation of disturbed areas.

Estimated close down and restoration costs are provided for in the accounting period when the obligation arising from the related disturbance occurs, whether this occurs during the development or during the operation phase, based on the net present value of estimated future costs.

C1-7 Infrastructure, property, plant and equipment (continued)

Provisions for close down and restoration costs do not include any additional obligations that are expected to arise from future disturbance.

Costs are estimated on the basis of a closure plan.

The cost estimates are calculated annually during the life of the operation to reflect known developments, e.g. updated cost estimates and revisions to the estimated lives of operations, and are subject to formal review at regular intervals.

Close down, restoration and remediation costs are a normal consequence of tip and quarry operations, and the majority of close down and restoration expenditure is incurred at the end of the life of the operations.

Although the ultimate cost to be incurred is uncertain, Council estimates the respective costs based on feasibility and engineering studies using current restoration standards and techniques.

The amortisation or 'unwinding' of the discount applied in establishing the net present value of provisions is charged to the Income Statement in each accounting period.

This amortisation of the discount is disclosed as a borrowing cost in Note B3-3.

Other movements in the provisions for close down, restoration and remediation costs including those resulting from new disturbance, updated cost estimates, changes to the estimated lives of operations and revisions to discount rates are reflected in movements to asset revaluation reserve.

These costs are then depreciated over the lives of the assets to which they relate.

Where rehabilitation is conducted systematically over the life of the operation, rather than at the time of closure, provision is made for the estimated outstanding continuous rehabilitation work at each balance sheet date and the cost is charged to the Income Statement.

Provision is made for the estimated present value of the costs of environmental clean-up obligations outstanding at the balance sheet date.

These costs are charged to the Income Statement.

Movements in the environmental clean-up provisions are presented as an operating cost, except for the unwinding of the discount, which is shown as a borrowing cost.

Remediation procedures generally commence soon after the time the damage, remediation process and estimated remediation costs become known, but may continue for many years depending on the nature of the disturbance and the remediation techniques.

As noted above, the ultimate cost of environmental remediation is uncertain and cost estimates can vary in response to many factors, including changes to the relevant legal requirements, the emergence of new restoration techniques or experience at other locations.

The expected timing of expenditure can also change, for example, in response to changes in quarry reserves or production rates.

As a result there could be significant adjustments to the provision for close down and restoration and environmental clean-up, which would affect future financial results.

Specific information about Council's provisions relating to close down, restoration and remediation costs can be found at Note C3-5.

Impairment of assets

All Council's I,PP&E is subject to an annual assessment of impairment.

Assets that are subject to amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount.

The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

C1-7 Infrastructure, property, plant and equipment (continued)

Where an asset is not held principally for cash-generating purposes (for example infrastructure assets) and would be replaced if the Council was deprived of it, then depreciated replacement cost is used as value in use, otherwise value in use is estimated by using a discounted cash flow model.

Non-financial assets (other than goodwill) that suffered a prior period impairment are reviewed for possible reversal of the impairment at each reporting date.

Rural Fire Service assets

Under Section 119 of the *Rural Fire Services Act 1997 (NSW)*, “all firefighting equipment purchased or constructed wholly or from money to the credit of the Fund is to be vested in the council of the area for or on behalf of which the firefighting equipment has been purchased or constructed”.

Until such time as discussions on this matter have concluded and the legislation changed, Council will recognise rural fires service assets including land and buildings, but will not recognise plant and vehicles.

C2 Leasing activities

C2-1 Council as a lessee

Council has a lease over photocopiers in the asset class office equipment. Information relating to the leases in place and associated balances and transactions is provided below.

Office and IT equipment

Leases for office and IT equipment are generally for low value assets, except for significant items such as photocopiers. The leases are for between 3 and 8 years with no renewal option, the payments are fixed, however some of the leases include variable payments based on usage.

(a) Right of use assets

\$ '000	Plant & Equipment	Office Equipment	Total
2024			
Opening balance at 1 July	–	49	49
Depreciation charge	–	(21)	(21)
Balance at 30 June	–	28	28
2023			
Opening balance at 1 July	–	71	71
Depreciation charge	–	(22)	(22)
Balance at 30 June	–	49	49

(b) Lease liabilities

\$ '000	2024 Current	2024 Non-current	2023 Current	2023 Non-current
Lease liabilities	22	7	21	29
Total lease liabilities	22	7	21	29

(c) (i) The maturity analysis

The maturity analysis of lease liabilities based on contractual undiscounted cash flows is shown in the table below:

\$ '000	< 1 year	1 – 5 years	> 5 years	Total	Total per Statement of Financial Position
2024					
Cash flows	21	8	–	29	29
2023					
Cash flows	21	29	–	50	50

C2-1 Council as a lessee (continued)

(d) Income Statement

The amounts recognised in the Income Statement relating to leases where Council is a lessee are shown below:

\$ '000	2024	2023
Interest on lease liabilities	1	1
Depreciation of right of use assets	21	22
Expenses relating to short-term leases	22	21
	44	44

(e) Statement of Cash Flows

Total cash outflow for leases	(44)	(44)
	(44)	(44)

C2-2 Council as a lessor

Operating leases

Council leases out a number of properties and /or plant and equipment to community groups; these leases have been classified as operating leases for financial reporting purposes and the assets are included as IPP&E (refer in this note part (v) below) in the Statement of Financial Position.

The amounts recognised in the Income Statement relating to operating leases where Council is a lessor are shown below:

\$ '000	2024	2023
(i) Assets held as property, plant and equipment		
Council provides operating leases on Council buildings for the purpose of commercial occupation, the table below relates to operating leases on assets disclosed in C1-7.		
Lease income (excluding variable lease payments not dependent on an index or rate)	705	609
Total income relating to operating leases for Council assets	705	609

C3 Liabilities of Council

C3-1 Payables

\$ '000	2024 Current	2024 Non-current	2023 Current	2023 Non-current
Payables				
Goods and services – operating expenditure	900	–	898	–
Goods and services – capital expenditure	1	–	1	–
Accrued expenses:				
– Borrowings	25	–	45	–
– Salaries and wages	403	–	436	–
– Other expenditure accruals	1,906	85	1,973	68
Funds held for Section 355 Committees	139	–	139	–
Security bonds, deposits and retentions	1,043	–	1,021	–
Sale of Land Deposits	399	–	352	–
ATO – net GST payable	41	–	46	–
Government departments and agencies	8	–	23	–
Other	111	–	97	–
Total payables	4,976	85	5,031	68
Total payables	4,976	85	5,031	68

Payables relating to restricted assets

\$ '000	2024 Current	2024 Non-current	2023 Current	2023 Non-current
Externally restricted assets				
Water	580	–	692	–
Sewer	41	–	91	–
Payables relating to externally restricted assets	621	–	783	–
Total payables relating to restricted assets	621	–	783	–
Total payables relating to unrestricted assets	4,355	85	4,248	68
Total payables	4,976	85	5,031	68

Current payables not anticipated to be settled within the next twelve months

\$ '000	2024	2023
The following liabilities, even though classified as current, are not expected to be settled in the next 12 months.		
Payables – security bonds, deposits and retentions	750	785
Total payables	750	785

Material accounting policy information

Council measures all financial liabilities initially at fair value less transaction costs, subsequently financial liabilities are measured at amortised cost using the effective interest rate method.

Payables

Payables represent liabilities for goods and services provided to Council prior to the end of financial year that are unpaid. The amounts are unsecured and are usually paid within 30 days of recognition.

C3-2 Contract Liabilities

\$ '000	Notes	2024 Current	2024 Non-current	2023 Current	2023 Non-current
Grants and contributions received in advance:					
Unexpended capital grants (to construct Council controlled assets)	(i)	13,718	–	11,075	–
Unexpended operating grants (received prior to performance obligation being satisfied)	(ii)	–	–	419	–
Total grants received in advance		13,718	–	11,494	–
User fees and charges received in advance:					
Other		1,213	–	1,116	–
Total user fees and charges received in advance		1,213	–	1,116	–
Total contract liabilities		14,931	–	12,610	–

Notes

(i) Council has received funding to construct assets including sporting facilities, bridges, library and other infrastructure. The funds received are under an enforceable contract which require Council to construct an identified asset which will be under Council's control on completion. The revenue is recognised as Council constructs the asset and the contract liability reflects the funding received which cannot yet be recognised as revenue. The revenue is expected to be recognised in the next 12 months.

(ii) The contract liability relates to grants received prior to the revenue recognition criteria in AASB 15 being satisfied since the performance obligations are ongoing.

Revenue recognised that was included in the contract liability balance at the beginning of the period

\$ '000	2024	2023
Grants and contributions received in advance:		
Capital grants (to construct Council controlled assets)	7,291	3,755
Total revenue recognised that was included in the contract liability balance at the beginning of the period	7,291	3,755

Significant changes in contract liabilities

Council received additional grant funding under the Local Roads Capital Improvement Program (LRCIP) which could not be spent during the current year.

C3-3 Borrowings

\$ '000	2024 Current	2024 Non-current	2023 Current	2023 Non-current
Loans – secured ¹	1,516	10,360	1,800	11,877
Total borrowings	1,516	10,360	1,800	11,877

(1) Disclosures on liability interest rate risk exposures, fair value disclosures and security can be found in Note E1-1.

Borrowings relating to restricted assets

\$ '000	2024 Current	2024 Non-current	2023 Current	2023 Non-current
Externally restricted assets				
Water	353	1,847	348	2,200
Sewer	745	7,057	675	7,802
Borrowings relating to externally restricted assets	1,098	8,904	1,023	10,002
Total borrowings relating to restricted assets	1,098	8,904	1,023	10,002
Total borrowings relating to unrestricted assets	418	1,456	777	1,875
Total borrowings	1,516	10,360	1,800	11,877

(a) Changes in liabilities arising from financing activities

\$ '000	2023		Non-cash movements				2024
	Opening Balance	Cash flows	Acquisition	Fair value changes	Acquisition due to change in accounting policy	Other non-cash movement	Closing balance
Loans – secured	13,677	(1,801)	–	–	–	–	11,876
Lease liability (Note C2-1b)	50	(21)	–	–	–	–	29
Total liabilities from financing activities	13,727	(1,822)	–	–	–	–	11,905

\$ '000	2022		Non-cash movements				2023
	Opening Balance	Cash flows	Acquisition	Fair value changes	Acquisition due to change in accounting policy	Other non-cash movement	Closing balance
Loans – secured	15,517	(1,840)	–	–	–	–	13,677
Lease liability (Note C2-1b)	71	(21)	–	–	–	–	50
Total liabilities from financing activities	15,588	(1,861)	–	–	–	–	13,727

(b) Financing arrangements

\$ '000	2024	2023
Total facilities		
Total financing facilities available to Council at the reporting date are:		
Bank overdraft facilities ¹	480	480
Credit cards/purchase cards	100	100
Total financing arrangements	580	580

C3-3 Borrowings (continued)

\$ '000	2024	2023
Drawn facilities		
Financing facilities drawn down at the reporting date are:		
– Credit cards/purchase cards	28	9
Total drawn financing arrangements	28	9
Undrawn facilities		
Undrawn financing facilities available to Council at the reporting date are:		
– Bank overdraft facilities	480	480
– Credit cards/purchase cards	72	91
Total undrawn financing arrangements	552	571

(1) The bank overdraft facility may be drawn at any time and may be terminated by the bank without notice.

Breaches and Defaults

During the current and prior year, there were no defaults or breaches on any of the loans.

Security over Loans

Loans are secured over the General rating Income of Council.

Lease liabilities are secured by the underlying leased assets.

C3-4 Employee benefit provisions

\$ '000	2024 Current	2024 Non-current	2023 Current	2023 Non-current
Annual leave	2,114	–	1,936	–
Sick leave	575	–	533	–
Long service leave	2,678	1,442	2,487	1,339
RDO leave	181	–	287	–
Total employee benefit provisions	5,548	1,442	5,243	1,339

Current employee benefit provisions not anticipated to be settled within the next twelve months

\$ '000	2024	2023
The following provisions, even though classified as current, are not expected to be settled in the next 12 months.		
Provisions – employees benefits	3,889	3,388
	3,889	3,388

Material accounting policy information

Long-term employee benefit obligations

The liability for long-service leave and annual leave that is not expected to be wholly settled within 12 months after the end of the period in which the employees render the related service is recognised in the provision for employee benefits and measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. Consideration is given to expected future wage and salary levels, experience of employee departures, and periods of service. Expected future payments are discounted using market yields at the end of the reporting period on national government bonds with terms to maturity and currency that match, as closely as possible, the estimated future cash outflows.

On-costs

The employee benefit provisions include the aggregate on-cost liabilities that will arise when payment of current employee benefits is made in future periods.

These amounts include superannuation, payroll tax and workers compensation expenses which will be payable upon the future payment of certain leave liabilities which employees are entitled to at the reporting period.

C3-5 Provisions

\$ '000	2024 Current	2024 Non-Current	2023 ¹ Current Restated	2023 ¹ Non-Current Restated
Asset remediation/restoration:				
Asset remediation/restoration (future works)	8,028	8,919	7,787	8,649
Sub-total – asset remediation/restoration	8,028	8,919	7,787	8,649
Total provisions	8,028	8,919	7,787	8,649

(1) Refer to note G4-1 for prior period error

Description of and movements in provisions

\$ '000	Other provisions	
	Asset remediation	Total
2024		
At beginning of year	16,436	16,436
Unwinding of discount	511	511
Total other provisions at end of year	16,947	16,947

continued on next page ...

C3-5 Provisions (continued)

\$ '000	Other provisions	
	Asset remediation Restated	Total Restated
2023		
At beginning of year	16,065	16,065
Unwinding of discount	371	371
Total other provisions at end of year	16,436	16,436

Material accounting policy information

Provisions are recognised when Council has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources will be required to settle the obligation, and the amount has been reliably estimated.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the reporting date. The discount rate used to determine the present value reflects current market assessments of the time value of money and the risks specific to the liability. The increase in the provision due to the passage of time is recognised as a borrowing cost.

Asset remediation – tips and quarries

Close-down and restoration costs include the dismantling and demolition of infrastructure, and the removal of residual materials and remediation of disturbed areas. Estimated close-down and restoration costs are provided for in the accounting period when the obligation arising from the related disturbance occurs, whether this occurs during the development or during the operation phase, based on the net present value of estimated future costs. Provisions for close-down and restoration costs do not include any additional obligations which are expected to arise from future disturbance. The cost estimates are calculated annually during the life of the operation to reflect known developments, e.g. updated cost estimates and revisions to the estimated lives of operations, and are subject to formal review at regular intervals.

The ultimate cost of environmental remediation is uncertain and cost estimates can vary in response to many factors, including changes to the relevant legal requirements, the emergence of new restoration techniques, or experience at other locations. The expected timing of expenditure can also change, for example in response to changes in quarry reserves or production rates. As a result, there could be significant adjustments to the provision for close down and restoration and environmental clean-up, which would affect future financial results.

Other movements in the provisions for close-down and restoration costs, including those resulting from new disturbance, updated cost estimates, changes to the estimated lives of operations, and revisions to discount rates, are reflected in movements to the asset revaluation reserve.

C4 Reserves

C4-1 Nature and purpose of reserves

IPPE Revaluation reserve

The infrastructure, property, plant and equipment (IPPE) revaluation reserve is used to record increments and decrements in the revaluation of infrastructure, property, plant and equipment.

D Council structure

D1 Results by fund

General fund refers to all Council activities other than water, sewer, South West Rural Fire Zone and South West Regional Waste Management. All amounts disclosed in this note are gross i.e. inclusive of internal charges and recoveries made between the funds. Assets and liabilities shown in the water and sewer and other columns are restricted for use for these activities.

D1-1 Income Statement by fund

\$ '000	Other * 2024	General 2024	Water 2024	Sewer 2024
Income from continuing operations				
Rates and annual charges	–	18,077	3,647	4,979
User charges and fees	–	10,973	6,077	125
Interest and investment revenue	105	1,899	714	406
Other revenues	–	1,445	–	–
Grants and contributions provided for operating purposes	2,329	15,054	278	–
Grants and contributions provided for capital purposes	–	20,988	326	212
Other income	–	705	–	–
Total income from continuing operations	2,434	69,141	11,042	5,722
Expenses from continuing operations				
Employee benefits and on-costs	63	20,032	1,017	590
Materials and services	1,868	16,671	6,687	1,724
Borrowing costs	25	547	37	328
Depreciation, amortisation and impairment of non-financial assets	173	19,135	1,529	1,597
Other expenses	–	1,086	11	–
Net losses from the disposal of assets	–	284	–	–
Total expenses from continuing operations	2,129	57,755	9,281	4,239
Operating result from continuing operations	305	11,386	1,761	1,483
Net operating result for the year	305	11,386	1,761	1,483
Net operating result attributable to each council fund	305	11,386	1,761	1,483
Net operating result for the year before grants and contributions provided for capital purposes	305	(9,602)	1,435	1,271

(*) Other represents South West Rural Fire Zone and South West Regional Waste Management

D1-2 Statement of Financial Position by fund

\$ '000	Other 2024	General 2024	Water 2024	Sewer 2024
ASSETS				
Current assets				
Cash and Investments	3,247	(3,481)	11,187	9,962
Investments	–	33,964	8,064	1,075
Receivables	353	5,897	3,161	841
Inventories	–	1,728	–	–
Contract assets and contract cost assets	–	4,106	103	–
Total current assets	3,600	42,214	22,515	11,878
Non-current assets				
Receivables	–	30	127	1
Infrastructure, property, plant and equipment	4,288	738,116	49,519	52,227
Right of use assets	–	28	–	–
Total non-current assets	4,288	738,174	49,646	52,228
Total assets	7,888	780,388	72,161	64,106
LIABILITIES				
Current liabilities				
Payables	305	4,050	580	41
Contract liabilities	–	14,931	–	–
Lease liabilities	–	22	–	–
Borrowings	–	418	353	745
Employee benefit provision	–	5,209	221	118
Provisions	–	8,028	–	–
Total current liabilities	305	32,658	1,154	904
Non-current liabilities				
Payables	–	85	–	–
Lease liabilities	–	7	–	–
Borrowings	–	1,456	1,847	7,057
Employee benefit provision	–	1,442	–	–
Provisions	2,083	6,836	–	–
Total non-current liabilities	2,083	9,826	1,847	7,057
Total liabilities	2,388	42,484	3,001	7,961
Net assets	5,500	737,904	69,160	56,145
EQUITY				
Accumulated surplus	5,498	526,101	61,760	45,686
Revaluation reserves	2	211,803	7,400	10,459
Council equity interest	5,500	737,904	69,160	56,145
Total equity	5,500	737,904	69,160	56,145

(*) Other represents South West Rural Fire Zone and South West Regional Waste Management

E Risks and accounting uncertainties

E1-1 Risks relating to financial instruments held

Council's activities expose it to a variety of financial risks including **(1)** price risk, **(2)** credit risk, **(3)** liquidity risk and **(4)** interest rate risk.

The Council's overall risk management program focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of the Council.

Council does not engage in transactions expressed in foreign currencies and is therefore not subject to foreign currency risk.

Financial risk management is carried out by Council's finance section under policies approved by the Council.

A comparison by category of the carrying amounts and fair values of Council's financial assets and financial liabilities recognised in the financial statements is presented below.

\$ '000	Carrying value 2024	Carrying value 2023	Fair value 2024	Fair value 2023
Financial assets				
Measured at amortised cost				
Cash and cash equivalents	20,915	9,481	20,915	9,481
Receivables	10,410	7,957	10,410	7,957
Investments				
– Debt securities at amortised cost	43,103	40,217	43,103	40,217
Total financial assets	74,428	57,655	74,428	57,655
Financial liabilities				
Payables	5,061	5,099	5,061	5,099
Borrowings	11,876	13,677	11,876	13,677
Total financial liabilities	16,937	18,776	16,937	18,776

Fair value is determined as follows:

- **Cash and cash equivalents, receivables, payables** – are estimated to be the carrying value that approximates market value.
- **Borrowings and measure at amortised cost investments** – are based upon estimated future cash flows discounted by the current market interest rates applicable to assets and liabilities with similar risk profiles, unless quoted market prices are available.
- Financial assets classified (i) **at fair value through profit and loss** or (ii) **at fair value through other comprehensive income** – are based upon quoted market prices (in active markets for identical investments) at the reporting date or independent valuation.

Council's objective is to maximise its return on cash and investments whilst maintaining an adequate level of liquidity and preserving capital.

Council's finance area manages the cash and Investments portfolio with the assistance of independent advisors.

Council has an investment policy which complies with the Local Government Act 1993 and Minister's investment order 625. This policy is regularly reviewed by Council and its staff and an investment report is tabled before Council on a monthly basis setting out the portfolio breakup and its performance as required by Local Government regulations.

The risks associated with the instruments held are:

- **Price risk** – the risk that the capital value of Investments may fluctuate due to changes in market prices, whether the changes are caused by factors specific to individual financial instruments or their issuers or are caused by factors affecting similar instruments traded in a market.
- **Interest rate risk** – the risk that movements in interest rates could affect returns and income.
- **Liquidity risk** – the risk that Council will not be able to pay its debts as and when they fall due.

E1-1 Risks relating to financial instruments held (continued)

- **Credit risk** – the risk that the investment counterparty will not complete their obligations particular to a financial instrument, resulting in a financial loss to Council – be it of a capital or income nature.

Council manages these risks (amongst other measures) by diversifying its portfolio and only purchasing investments with high credit ratings or capital guarantees.

Council also seeks advice from independent advisers before placing any funds in cash equivalents and investments.

(a) Market risk – interest rate and price risk

\$ '000	2024	2023
The impact on result for the year and equity of a reasonably possible movement in the price of investments held and interest rates is shown below. The reasonably possible movements were determined based on historical movements and economic conditions in place at the reporting date.		
Impact of a 1% movement in interest rates		
– Equity / Income Statement	431	402
Impact of a 10% movement in price of investments		
– Equity / Income Statement	–	–

(b) Credit risk

Council's major receivables comprise (i) rates and annual charges and (ii) user charges and fees.

Council manages the credit risk associated with these receivables by monitoring outstanding debt and employing stringent debt recovery procedures. Council also encourages ratepayers to pay their rates by the due date through incentives.

The credit risk for liquid funds and other short-term financial assets is considered negligible, since the counterparties are reputable banks with high quality external credit ratings.

There are no significant concentrations of credit risk, whether through exposure to individual customers, specific industry sectors and/or regions.

The level of outstanding receivables is reported to Council monthly and benchmarks are set and monitored for acceptable collection performance.

Council makes suitable provision for doubtful receivables as required and carries out credit checks on most non-rate debtors.

There are no material receivables that have been subjected to a re-negotiation of repayment terms.

Credit risk profile

Receivables – rates and annual charges

Credit risk on rates and annual charges is minimised by the ability of Council to recover these debts as a secured charge over the land; that is, the land can be sold to recover the debt. Council is also able to charge interest on overdue rates and annual charges at higher than market rates which further encourages payment.

\$ '000	Not yet overdue	overdue rates and annual charges < 5 years	≥ 5 years	Total
2024				
Gross carrying amount	162	3,294	186	3,642
2023				
Gross carrying amount	125	3,608	156	3,889

Receivables - non-rates and annual charges and contract assets

Council applies the simplified approach for non-rates and annual charges debtors and contract assets to provide for expected credit losses, which permits the use of the lifetime expected loss provision at inception. To measure the expected credit losses, non-rates and annual charges debtors and contract assets have been grouped based on shared credit risk characteristics and the days past due.

E1-1 Risks relating to financial instruments held (continued)

The loss allowance provision is determined as follows. The expected credit losses incorporate forward-looking information.

\$ '000	Not yet overdue	Overdue debts				Total
		0 - 30 days	31 - 60 days	61 - 90 days	> 91 days	
2024						
Gross carrying amount	8,861	85	447	1,022	731	11,146
Expected loss rate (%)	0.00%	0.00%	6.00%	8.70%	6.70%	1.48%
ECL provision	—	—	27	89	49	165
2023						
Gross carrying amount	15,420	47	43	801	778	17,089
Expected loss rate (%)	0.00%	0.00%	5.00%	8.30%	12.50%	0.97%
ECL provision	—	—	2	66	97	165

(c) Liquidity risk

Payables, lease liabilities and borrowings are both subject to liquidity risk; that is, the risk that insufficient funds may be on hand to meet payment obligations as and when they fall due.

Council manages this risk by monitoring its cash flow requirements and liquidity levels, and by maintaining an adequate cash buffer. Payment terms can be extended, and overdraft facilities drawn upon in extenuating circumstances.

Borrowings are also subject to interest rate risk: the risk that movements in interest rates could adversely affect funding costs. Council manages this risk through diversification of borrowing types, maturities and interest rate structures.

The finance team regularly reviews interest rate movements to determine if it would be advantageous to refinance or renegotiate part or all of the loan portfolio.

The timing of cash flows presented in the table below to settle financial liabilities reflects the earliest contractual settlement dates. The timing of expected outflows is not expected to be materially different from contracted cashflows.

The amounts disclosed in the table are the undiscounted contracted cash flows for non-lease liabilities (refer to Note C2-1(b) for lease liabilities) and therefore the balances in the table may not equal the balances in the Statement of Financial Position due to the effect of discounting.

	Weighted average interest rate	Subject to no maturity	≤ 1 Year	payable in: 1 - 5 Years	> 5 Years	Total contractu al cash flows	Actual carrying values
\$ '000							
2024							
Payables	0.00%	1,043	3,933	85	–	5,061	5,061
Borrowings	3.60%	–	1,517	5,317	5,042	11,876	11,876
Total financial liabilities		1,043	5,450	5,402	5,042	16,937	16,937
2023							
Payables	0.00%	1,021	4,010	68	–	5,099	5,099
Borrowings	3.60%	–	1,800	6,622	5,255	13,677	13,677
Total financial liabilities		1,021	5,810	6,690	5,255	18,776	18,776

E2-1 Fair value measurement

The Council measures the following asset and liability classes at fair value on a recurring basis:

– Infrastructure, property, plant and equipment

The fair value of assets and liabilities must be estimated in accordance with various accounting standards for either recognition and measurement requirements or for disclosure purposes.

AASB 13 Fair Value Measurement requires all assets and liabilities measured at fair value to be assigned to a 'level' in the fair value hierarchy as follows:

Level 1: Unadjusted quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date.

Level 2: Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Fair value measurement hierarchy									
\$ '000	Notes	Date of latest valuation		Level 2 Significant observable inputs		Level 3 Significant unobservable inputs		Total	
		2024	2023	2024	2023	2024	2023	2024	2023
							Restated		Restated
Recurring fair value measurements									
Infrastructure, property, plant and equipment	C1-7								
Plant & Equipment		30/06/24	30/06/23	—	—	12,336	10,850	12,336	10,850
Office Equipment, Furniture & Fittings		30/06/24	30/06/23	—	—	859	803	859	803
Operational Land		30/06/24	30/06/23	9,099	8,749	—	—	9,099	8,749
Community Land		30/06/24	30/06/23	—	—	13,269	13,269	13,269	13,269
Land Improvements		30/06/24	30/06/23	—	—	1,236	1,280	1,236	1,280
Buildings		30/06/23	30/06/23	—	—	81,029	79,945	81,029	79,945
Other structures		30/06/24	30/06/23	—	—	6,725	11,482	6,725	11,482
Roads		30/06/24	30/06/23	—	—	347,342	325,044	347,342	325,044
Bridges		30/06/24	30/06/23	—	—	56,100	46,903	56,100	46,903
Footpaths		30/06/24	30/06/23	—	—	10,830	9,362	10,830	9,362
Bulk Earthworks		30/06/24	30/06/23	—	—	156,261	149,318	156,261	149,318
Stormwater Drainage		30/06/24	30/06/23	—	—	15,052	13,645	15,052	13,645
Water Supply Network		30/06/24	30/06/23	—	—	49,010	46,463	49,010	46,463
Sewer Network		30/06/24	30/06/23	—	—	50,450	49,229	50,450	49,229
Swimming Pools		30/06/24	30/06/23	—	—	8,341	10,358	8,341	10,358
Other Open Space & Recreational Assets		30/06/24	30/06/23	—	—	19,152	11,791	19,152	11,791
Library Books		30/06/24	30/06/18	—	—	61	112	61	112
Reinstatements		30/06/24	30/06/23	—	—	2,678	3,218	2,678	3,218
Total infrastructure, property, plant and equipment				9,099	8,749	830,731	783,072	839,830	791,821

Non-recurring fair value measurements

Transfers between level 1 and level 2 fair value hierarchies

During the year, there were no transfers between level 1 and level 2 fair value hierarchies for recurring fair value measurements.

Valuation techniques

Where Council is unable to derive fair valuations using quoted market prices of identical assets (ie. level 1 inputs) Council instead utilises a spread of both observable inputs (level 2 inputs) and unobservable inputs (level 3 inputs).

E2-1 Fair value measurement (continued)

The fair valuation techniques Council has employed while utilising level 2 and level 3 inputs are as follows:

Infrastructure, property, plant and equipment (IPPE)

Plant and equipment

Council's Plant and Equipment incorporates

- Major plants- graders, loaders, rollers, trucks, tractors
- Fleet Vehicles- Cars, Utes etc.
- Minor Plant – Pumps, Chainsaws, brush cutters, mowers, concrete mixers, movie projectors

Council fair values plant and equipment using level 3 inputs. The unobservable Level 3 inputs used

- Quoted price for similar assets
- Purchase price
- Useful life of asset
- Current replacement Cost

The 'Cost Approach' is used to value Plant & Equipment

Furniture and fittings

Council's Furniture & Fittings incorporates

- Furniture and fittings- Desks, Chairs, Display Systems

Council fair values furniture fittings using level 3 inputs. The unobservable level 3 inputs used include:

- Quoted prices for similar assets
- Current replacement cost
- Purchase prices
- Useful life on asset

The 'Cost Approach' is used to value Furniture & Fittings

Property, office equipment

Council's Office Equipment incorporates:

- Office Equipment: copiers, telephone system, projectors, fridges etc.

Council fair values office equipment using level 3 inputs. The unobservable Level 3 inputs used include:

- Quoted prices for similar assets
- Current replacement cost
- Purchase prices
- Useful life on asset

Infrastructure – Roads/Bulk Earthworks

The road carriageway is defined as the trafficable portion of a road, between but not including the kerb and gutter and would include any paved makers parking places alongside roadside.

Council's Road Asset Data contains detailed dimensions and specification for all Council roads.

Council fair values, road infrastructure using Level 3 inputs at a component level.

The 'Cost Approach' is used to value roads by componentising the assets into significant parts and then rolling up these component values to provide an overall road valuation (for each road segment) within Council's Asset System.

Level of componentisation adopted by Council is in accordance with AASB 116, OLG Circular 09-09 and the Institute of Public Work Engineers International Infrastructure Management Manual (IIMM).

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Useful life and residual value
- Asset Condition
- Dimensions and Specification
- Remaining Life of Carriageway
- Unit Rates

E2-1 Fair value measurement (continued)

Infrastructure - Bridges

A bridge is defined as all structures that convey a road, a footpath or a cycleway across any other physical feature (including waterways and other roads) but do not include culverts.

Council Road Asset Data contains detailed dimensions and specification for all Council's bridges.

Council fair values bridges (non- componentised) using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Asset Condition
- Dimensions and Specification
- Unit Rates

In addition, the value of bridges takes into consideration the various type of structures such as:

- Bridge Deck & Superstructure
- Bridge Abutments & Foundations
- Bridge rails and hand rails

There were no changes in valuation technique from prior year.

The 'Cost Approach' is used to value bridges.

Infrastructure - Footpaths

A footpath is defined as all footways (including those shared with a cycleway) sealed or non-sealed.

Council Road Asset Data contains detailed dimensions and specifications for all Council footpaths.

Council fair values footpaths (non-componentised) using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Asset Condition
- Dimensions and Specification
- Unit Rates

In additions, the value of footpaths takes into consideration the various type of structure such as:

- Length
- Construction Materials

The 'Cost Approach' is used to value footpaths.

Infrastructure - Drainage

Council's Drainage Assets comprises pits, pipes, culverts, open channels, headwalls used to collect and remove stormwater.

Council carries fair values for drainages assets (non-componentised) using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Asset Condition
- Dimensions and Specification
- Unit Rates

In addition, the value of drainage assets takes into consideration the various type if structure such as:

- Pipe Diameter
- Pit Type
- Water Quality Device Type
- Culverts and Headwall Constructions Type

The 'Cost Approach' is used to value drainage assets.

E2-1 Fair value measurement (continued)

Property: - Operational Land

Council's "Operational" land by definition has no special restriction other than those that may apply to any piece of land.

Council carries fair values operational land by an External Valuer every 5 years (last valuation being 2023) using Level 2 inputs.

The unobservable Level 2 inputs used include:

- Land Area
- Rate per square Metre
- Planning and Other Restrictions
- Description of Land

The 'Market Approach' is used to value the Operational Land.

Property: - Community Land

Council's "Community" land (including owned by Council, the Crown and various other Government Agencies that is managed by Council) by definition is land intended for public access and use or where other restrictions applying to the land create some obligation to maintain public access (such as a trust deed, dedication under section 94 of the Environment Planning and Assessment Act 1979). This gives rise to the restrictions in the Act, intended to preserve the qualities of the land.

Community Land:

- Cannot be sold
- Cannot be leased, licensed, or any other estate granted over the land for more than 21 years and
- Must have a plan of management for it

In relation to Community Land the Division of Local Government has reviewed its positions on the use of the Valuer General's Valuations of community land and in association with the Local Government Accounting Advisory Group, the Division has determined that community land may be valued as follows.

- The NSW Valuer General's valuations may be used under revaluation model to represent fair value for the revaluation of community land under clause 31 of AASB 116.

Council fair values community land using unobservable Level 3 inputs based on inputs on either the UCV (Unimproved Capital Value) provided by the Valuer General or an average unit rate based on the UCV and allocated by Council against those properties where the Valuer General did not provide a UCV.

Community land is valued using a Market approach. Land values obtained from the NSW Valuer-General.

Land improvements

Council's Land improvements incorporates

- Sprinkler & Watering Systems
- Cemetery Irrigation

Council carries fair values of land reserves using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of consumption
- Asset Condition
- Dimensions and Specification

The 'Cost Approach' is used to value the land improvements

Buildings (specialised and non-specialised) Property:

Council Buildings incorporates Council administration buildings, Libraries, Public Amenities, Sporting Club Houses, Kiosks and Amenities, Depot Buildings and workshops, Halls & Community Centres and Rural Fire Service Buildings.

Council measures Buildings at Fair Value using the cost approach. Valuations are generally carried out by an external Valuer using the cost approach. This approach estimates the replacement cost for each building by componentising the building (for complex structures) into significant parts with different useful life and taking in to account a range of factors. Buildings are physically inspected and although rates based on square meters could be supported from the market evidence, extensive professional judgement, and condition and consumption rates etc. impact significantly on the final value determination of fair value. As such these assets are classified as having being valued using Level 3 inputs.

E2-1 Fair value measurement (continued)

The unobservable Level 3 inputs used include:

- Consumption rate
- Future Economic Benefits
- Condition
- Useful Life of an asset

The 'Cost Approach' is used to value specialised buildings

Other structures, swimming pools, open space and recreation:

Council's other structures incorporates the following types of assets:

- Significant single assets such as swimming pools, playgrounds, floodlighting system, tennis courts, tennis shelters, grandstands etc. and
- Aggregated lower value assets such as recreational / park infrastructures (picnic tables, seats, bollards, fences BBQs etc.)

Council carries fair value of other structures assets (non-componentised) using Level 3 inputs. Such valuations are undertaken by Council Staff or by an external valuer depending on the structure.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Residual Value
- Asset Condition
- Components
- Dimensions and specifications
- Unit Rates

The "Cost Approach" is used to value other structures

Water supply network

Council's Water Supply Network incorporates:

- Water Lines
- Water Meters
- Pumping Stations
- Reservoirs

Council carries fair value of water supply assets using Level 3 inputs. Such valuations are undertaken by Council Staff using the NSW Water and Sewerage Reference Rates Manual.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Residual Value
- Asset Condition
- Components
- Dimensions and specifications
- Unit Rates.

The "Cost Approach" is used to value other structures

Sewerage network

Council's Sewerage Network incorporates:

- Sewer Lines
- Pump Stations
- Sewer Treatment Plant

Council carries fair value of water supply assets using Level 3 inputs. Such valuations are undertaken by Council Staff using the NSW Water and Sewerage Reference Rates Manual.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Residual Value
- Asset Condition
- Components
- Dimensions and specifications
- Unit Rates.

E2-1 Fair value measurement (continued)

Fair value measurements using significant unobservable inputs (level 3)

Significant unobservable valuation inputs used (for level 3 asset classes) and their relationship to fair value.

The following table summarises the quantitative information relating to the significant unobservable inputs used in deriving the various level 3 asset class fair values.

	Valuation technique/s	Unobservable inputs
Infrastructure, property, plant and equipment		
Plant and equipment	Cost approach	Gross Replacement cost, useful life, residual value
Office equipment	Cost approach	Gross Replacement cost, useful life, residual value
Community land	Market approach - values from Valuer General	Land Value, Land area
Land improvements	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Buildings	Cost approach	Cost per sq metre, consumption rate. Condition, useful life
Other structures	Cost approach	Unit cost rates, asset condition, remaining life, residual value
Roads	Cost approach	Unit cost rates, asset condition, remaining life, residual value
Bridges	Cost approach	Unit cost rates, asset condition, remaining life, residual value
Footpaths	Cost approach	Unit cost rates, asset condition, remaining life, residual value
Bulk earthworks	Cost approach	Cost per sq Metre
Stormwater drainage	Cost approach	Unit cost rates, asset condition, remaining life, residual value
Water supply network	Cost approach	Unit rates, pattern of consumption, components, useful life, residual value, asset condition
Sewerage network	Cost approach	Unit rates, pattern of consumption, components, useful life, residual value, asset condition
Swimming pool	Cost approach	Cost per unit

E2-1 Fair value measurement (continued)

A reconciliation of the movements in recurring fair value measurements allocated to Level 3 of the hierarchy is provided below:

\$ '000	IPP & E	
	2024	2023 Restated
Opening balance	783,072	707,268
Purchases (GBV)	37,103	17,674
Disposals (WDV)	(1,137)	(500)
Depreciation and impairment	(22,413)	(20,083)
Fair value changes	34,106	78,713
Closing balance	830,731	783,072

Highest and best use

All of Council's non-financial assets are considered as being utilised for their highest and best use.

E3-1 Contingencies

The following assets and liabilities do not qualify for recognition in the Statement of Financial Position, but their knowledge and disclosure is considered relevant to the users of Council's financial report.

LIABILITIES NOT RECOGNISED

1. Guarantees

(i) Defined benefit superannuation contribution plans

Council is party to an Industry Defined Benefit Plan under the Local Government Superannuation Scheme, named The Local Government Superannuation Scheme – Pool B (the Scheme) which is a defined benefit plan that has been deemed to be a 'multi-employer fund' for purposes of AASB119 Employee Benefits for the following reasons:

- Assets are not segregated within the sub-group according to the employees of each sponsoring employer.
- The contribution rates have been the same for all sponsoring employers. That is, contribution rates have not varied for each sponsoring employer according to the experience relating to the employees of that sponsoring employer.
- Benefits for employees of all sponsoring employers are determined according to the same formulae and without regard to the sponsoring employer.
- The same actuarial assumptions are currently used in respect of the employees of each sponsoring employer.

Given the factors above, each sponsoring employer is exposed to the actuarial risks associated with current and former employees of other sponsoring employers, and hence shares in the associated gains and losses (to the extent that they are not borne by members).

Description of the funding arrangements.

Pooled Employers are required to pay future service employer contributions and past service employer contributions to the Fund.

The future service employer contributions were determined using the new entrant rate method under which a contribution rate sufficient to fund the total benefits over the working life-time of a typical new entrant is calculated. The current future service employer contribution rates are:

Division B	1.9 times member contributions for non-180 Point Members; Nil for 180 Point Members*
Division C	2.5% salaries
Division D	1.64 times member contributions

* For 180 Point Members, Employers are required to contribute 8.5% of salaries for the year ending 30 June 2024 (increasing to 9.0% in line with the increase in the Superannuation Guarantee) to these members' accumulation accounts, which are paid in addition to members' defined benefits.

The past service contribution for each Pooled Employer is a share of the total past service contributions of \$20.0 million per annum from 1 January 2022 to 31 December 2024, apportioned according to each employer's share of the accrued liabilities as at 30 June 2023. These past service contributions are used to maintain the adequacy of the funding position for the accrued liabilities.

The adequacy of contributions is assessed at each triennial actuarial investigation, the next of which is due effective 30 June 2024, and monitored annually between triennials.

Description of the extent to which Council can be liable to the plan for other Council's obligations under the terms and conditions of the multi-employer plan

As stated above, each sponsoring employer (Council) is exposed to the actuarial risks associated with current and former employees of other sponsoring employers and hence shares in the associated gains and losses.

However, there is no relief under the Fund's trust deed for employers to walk away from their defined benefit obligations. Under limited circumstances, an employer may withdraw from the plan when there are no active members, on full payment of outstanding additional contributions. There is no provision for allocation of any surplus which may be present at the date of withdrawal of the Council.

There are no specific provisions under the Fund's trust deed dealing with deficits or surplus on wind-up.

E3-1 Contingencies (continued)

There is no provision for allocation of any surplus which may be present at the date of withdrawal of an employer.

The amount of Council employer contributions to the defined benefit section of the Local Government Superannuation Scheme and recognised as an expense for the year ending 30 June 2024 was \$174,789.73. The last valuation of the Scheme was performed by fund actuary, Richard Boyfield, FIAA as at 30 June 2023.

The amount of additional contributions included in the total employer contribution advised above is \$89,854.80. Council's expected contribution to the plan for the next annual reporting period is \$133,200.51

The estimated employer reserves financial position for the Pooled Employers at 30 June 2024 is:

Employer reserves only *	\$millions	Asset Coverage
Assets	2,237.5	
Past Service Liabilities	2,141.9	104.5%
Vested Benefits	2,159.8	103.6%

* excluding member accounts and reserves in both assets and liabilities.

The share of any funding surplus or deficit that can be attributed to Council is 0.42%

Council's share of that deficiency cannot be accurately calculated as the Scheme is a mutual arrangement where assets and liabilities are pooled together for all member councils. For this reason, no liability for the deficiency has been recognised in Council's accounts. Council has a possible obligation that may arise should the Scheme require immediate payment to correct the deficiency.

The key economic long term assumptions used to calculate the present value of accrued benefits are:

Investment return	6.0% per annum
Salary inflation *	3.5% per annum
Increase in CPI	3.5% for FY 23/24 and 2.5% per annum thereafter

* Plus promotional increases

The contribution requirements may vary from the current rates if the overall sub-group experience is not in line with the actuarial assumptions in determining the funding program; however, any adjustment to the funding program would be the same for all sponsoring employers in the Pooled Employers group.

Please note that the estimated employer reserves financial position above is a preliminary calculation, and once all the relevant information has been received by the Funds Actuary, the final end of year review, which will be a triennial actuarial investigation will be completed by December 2024.

(ii) Statewide Limited

Council is a member of Statewide Mutual, a mutual pool scheme providing liability insurance to local government.

Membership includes the potential to share in either the net assets or liabilities of the fund depending on its past performance. Council's share of the net assets or liabilities reflects Council's contributions to the pool and the result of insurance claims within each of the fund years.

The future realisation and finalisation of claims incurred but not reported to 30 June this year may result in future liabilities or benefits as a result of past events that Council will be required to fund or share in respectively.

(iii) StateCover Limited

Council is a member of StateCover Mutual Limited and holds a partly paid share in the entity.

StateCover is a company providing workers compensation insurance cover to the NSW local government industry and specifically Council.

Council has a contingent liability to contribute further equity in the event of the erosion of the company's capital base as a result of the company's past performance and/or claims experience or as a result of any increased prudential requirements from APRA.

These future equity contributions would be required to maintain the company's minimum level of net assets in accordance with its licence requirements.

E3-1 Contingencies (continued)

(iv) Other guarantees

Council has provided no other guarantees other than those listed above.

2. Other liabilities

(i) Third party claims

The Council is involved from time to time in various claims incidental to the ordinary course of business including claims for damages relating to its services.

Council believes that it is appropriately covered for all claims through its insurance coverage and does not expect any material liabilities to eventuate.

ASSETS NOT RECOGNISED

(i) Land under roads

As permitted under AASB 1051, Council has elected not to bring to account land under roads that it owned or controlled up to and including 30/6/08.

(ii) Infringement notices/fines

Fines and penalty income, the result of Council issuing infringement notices is followed up and collected by the Infringement Processing Bureau.

Council's revenue recognition policy for such income is to account for it as revenue on receipt.

Accordingly, at year end, there is a potential asset due to Council representing issued but unpaid infringement notices.

Due to the limited information available on the status, value and duration of outstanding notices, Council is unable to determine the value of outstanding income.

F People and relationships

F1 Related party disclosures

F1-1 Key management personnel (KMP)

Key management personnel (KMP) of the council are those persons having the authority and responsibility for planning, directing and controlling the activities of the council, directly or indirectly.

The aggregate amount of KMP compensation included in the Income Statement is:

\$ '000	2024	2023
Compensation:		
Short-term benefits	1,286	1,234
Post-employment benefits	118	78
Total	1,404	1,312

Other transactions with KMP and their related parties

Council is not aware of any transactions at arm's length between KMP and Council.

F1-2 Councillor and Mayoral fees and associated expenses

\$ '000	2024	2023
The aggregate amount of Councillor and Mayoral fees and associated expenses included in materials and services expenses in the Income Statement are:		
Mayoral fee	38	27
Councillors' fees	196	138
Other Councillors' expenses (including Mayor)	24	16
Total	258	181

F2 Other relationships

F2-1 Audit fees

\$ '000	2024	2023
During the year, the following fees were incurred for services provided by the auditor of Council, related practices and non-related audit firms		
Auditors of the Council - NSW Auditor-General:		
(i) Audit and other assurance services		
Audit and review of financial statements	231	126
Remuneration for audit and other assurance services	231	126
Total Auditor-General remuneration	231	126
Non NSW Auditor-General audit firms		
(i) Audit and other assurance services		
Other Assurance Services	14	11
Remuneration for audit and other assurance services	14	11
Total remuneration of non NSW Auditor-General audit firms	14	11
Total audit fees	245	137

G Other matters

G1-1 Statement of Cash Flows information

Reconciliation of Operating Result

	2024	2023 Restated
\$ '000		
Net operating result from Income Statement	14,935	8,757
Add / (less) non-cash items:		
Depreciation and amortisation	22,434	20,105
(Gain) / loss on disposal of assets	284	(128)
Unwinding of discount rates on reinstatement provisions	511	372
Movements in operating assets and liabilities and other cash items:		
(Increase) / decrease of receivables	(2,503)	1,396
(Increase) / decrease of inventories	(557)	(276)
(Increase) / decrease of contract asset	8,643	(3,103)
Increase / (decrease) in payables	2	327
Increase / (decrease) in accrued interest payable	(20)	(3)
Increase / (decrease) in other accrued expenses payable	(83)	706
Increase / (decrease) in other liabilities	63	70
Increase / (decrease) in contract liabilities	2,321	4,391
Increase/(decrease) in employee leave entitlements	408	(9)
Net cash flows from operating activities	46,438	32,605

G2-1 Commitments

Capital commitments (exclusive of GST)

\$ '000	2024	2023
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Capital expenditure committed for at the reporting date but not recognised in the financial statements as liabilities:

Property, plant and equipment

Sewerage and water infrastructure	1,586	490
Buildings / Pools	1,184	–
Plant and equipment	1,778	–
Bridges	1,529	136
Other	151	1,116
Road infrastructure	2,180	–
Total commitments	8,408	1,742

These expenditures are payable as follows:

Within the next year	8,408	1,742
Total payable	8,408	1,742

Sources for funding of capital commitments:

Unrestricted general funds	151	–
Future grants and contributions	3,709	1,252
Unexpended grants	1,184	–
Externally restricted reserves	1,586	490
Internally restricted reserves	1,778	–
Total sources of funding	8,408	1,742

G3-1 Events occurring after the reporting date

Council is unaware of any material or significant 'non-adjusting events' that should be disclosed.

G4 Changes from prior year statements

G4-1 Correction of errors

Nature of prior period error

As part of the preparation of the 2023-24 Financial Reports the Council performed revaluations of their remediation provisions which identified errors to landfill and quarry provisions previously recognised. These errors were primarily based on inaccurate measurement of remediation areas, which also impacted prior years.

Given that the error is considered material to Council's financial statements, the error has been corrected by restating each of the affected financial statement line items for the prior periods.

The errors identified above have been corrected by restating the balances at the beginning of the earliest period presented (1 July 2022) and taking the adjustment through to accumulated surplus at that date.

Comparatives have been changed to reflect the correction of errors. The impact on each line item is shown in the tables below:

Changes to the opening Statement of Financial Position at 1 July 2022

Statement of Financial Position

\$ '000	Original Balance 1 July, 2022	Impact Increase/ (decrease)	Restated Balance 1 July, 2022
Infrastructure, property, plant and equipment (IPPE)	724,942	(5,476)	719,466
Total non-current assets	725,257	(5,476)	719,781
Total assets	786,629	(5,476)	781,153
Provisions	3,546	4,007	7,553
Total current liabilities	22,789	4,007	26,796
Provisions	21,072	(12,561)	8,511
Total non-current liabilities	36,226	(12,561)	23,665
Total liabilities	59,015	(8,554)	50,461
Net assets	727,614	3,078	730,692
Accumulated surplus	609,779	5,574	615,353
IPPE revaluation reserve	117,835	(2,496)	115,339
Total equity	727,614	3,078	730,692

G4-1 Correction of errors (continued)

Adjustments to the comparative figures for the year ended 30 June 2023

Statement of Financial Position

\$ '000	Original Balance 30 June, 2023	Impact Increase/ (decrease)	Restated Balance 30 June, 2023
Non Current assets			
Infrastructure, property plant and equipment (IPPE)	807,044	(4,979)	802,065
Total non-current assets	807,301	(4,979)	802,322
Total assets	878,771	(4,979)	873,792
Current Liabilities			
Provisions	4,507	3,280	7,787
Total current liabilities	29,212	3,280	32,492
Provisions	18,874	(10,225)	8,649
Total non-current liabilities	32,187	(10,225)	21,962
Total liabilities	61,399	(6,945)	54,454
Net assets	817,372	1,966	819,338
Accumulated Surplus	617,114	6,996	624,110
IPPE Revaluation Reserve	200,258	(5,030)	195,228
Total equity	817,372	1,966	819,338

Income Statement for the year ended 30 June 2023

\$ '000	Original Balance 30 June, 2023	Impact Increase/ (decrease)	Restated Balance 30 June, 2023
Depreciation, amortisation and impairment of non-financial assets	20,602	(497)	20,105
Borrowing Costs	1,783	(925)	858
Total expenses from continuing operations	71,072	(1,422)	69,650
Operating result from continuing operations	7,335	1,422	8,757
Net operating result for the year before grants and contributions provided for capital purposes	(4,762)	1,422	(3,340)

G4-1 Correction of errors (continued)

\$ '000	Original Balance 30 June, 2023	Impact Increase/ (decrease)	Restated Balance 30 June, 2023
Net operating result for the year - from Income Statement	7,335	1,422	8,757
Other movements to revaluation reserve	2,534	(2,534)	—
Total items which will not be reclassified subsequently to the operating result	82,423	(2,534)	79,889
Total other comprehensive income for the year	82,423	(2,534)	79,889
Total comprehensive income for the year attributable to Council	89,758	(1,112)	88,646

G5 Statement of developer contributions

G5-1 Summary of developer contributions

\$ '000	Opening balance at 1 July 2023	Contributions received during the year			Interest and investment income earned	Amounts expended	Internal borrowings	Held as restricted asset at 30 June 2024	Cumulative balance of internal borrowings (to)/from
		Cash	Non-cash Land	Non-cash Other					
Roads	1,896	304	–	–	86	(327)	–	1,959	–
S7.11 contributions – under a plan	1,896	304	–	–	86	(327)	–	1,959	–
S7.12 levies – under a plan	2,129	359	–	–	103	(257)	–	2,334	–
Total S7.11 and S7.12 revenue under plans	4,025	663	–	–	189	(584)	–	4,293	–
S7.11 not under plans	119	88	–	–	6	(67)	–	146	–
S64 contributions	1,435	437	–	–	86	–	–	1,958	–
Total contributions	5,579	1,188	–	–	281	(651)	–	6,397	–

Under the *Environmental Planning and Assessment Act 1979*, Council has significant obligations to provide Section 7.11 (contributions towards provision or improvement of amenities or services) infrastructure in new release areas. It is possible that the funds contributed may be less than the cost of this infrastructure, requiring Council to borrow or use general revenue to fund the difference.

G5-2 Developer contributions by plan

\$ '000	Opening balance at 1 July 2023	Contributions received during the year			Interest and investment income earned	Amounts expended	Internal borrowings	Held as restricted asset at 30 June 2024	Cumulative balance of internal borrowings (to)/from
		Cash	Non-cash Land	Non-cash Other					
CONTRIBUTION PLAN (former Harden)									
Roads	1,896	304	—	—	86	(327)	—	1,959	—
Total	1,896	304	—	—	86	(327)	—	1,959	—

S7.12 Levies – under a plan

CONTRIBUTION PLAN (former Boorowa)

Roads	223	189	–	–	7	(257)	–	162	–
Community facilities	288	30	–	–	15	–	–	333	–
Other	1	(1)	–	–	–	–	–	–	–
Total	512	218	–	–	22	(257)	–	495	–

CONTRIBUTION PLAN (former Harden)

Roads	28	–	–	–	2	–	–	30	–
Other	279	8	–	–	13	–	–	300	–

G5-2 Developer contributions by plan (continued)

\$ '000	Opening balance at 1 July 2023	Contributions received during the year			Interest and investment income earned	Amounts expended	Internal borrowings	Held as restricted asset at 30 June 2024	Cumulative balance of internal borrowings (to)/from
		Cash	Non-cash Land	Non-cash Other					
Total	307	8	—	—	15	—	—	330	—
CONTRIBUTION PLAN NUMBER Former Young									
Community facilities	1,310	133	—	—	66	—	—	1,509	—
Total	1,310	133	—	—	66	—	—	1,509	—

G5-3 Contributions not under plans

(former Young)

Drainage	31	—	—	—	1	—	—	32	—
Rye Park Windfarm (roads)	—	73	—	—	—	(67)	—	6	—
Parking	88	15	—	—	5	—	—	108	—
Total	119	88	—	—	6	(67)	—	146	—

G5-4 S7.4 planning agreements

Council established a planning agreement with Rye Park Windfarm to upgrade roads and associated infrastructure. The windfarm completed the work and contributed the asset upgrades to Council.

G6 Statement of performance measures

G6-1 Statement of performance measures – consolidated results

	Amounts	Indicator	Indicator Restated	Benchmark
\$ '000	2024	2024	2023	
1. Operating performance ratio				
Total continuing operating revenue excluding capital grants and contributions less operating expenses ^{1,2}	(6,292)	(9.42)%	(5.13)%	> 0.00%
Total continuing operating revenue excluding capital grants and contributions ¹	66,813			
2. Own source operating revenue ratio				
Total continuing operating revenue excluding all grants and contributions ¹	49,152	55.64%	55.14%	> 60.00%
Total continuing operating revenue ¹	88,339			
3. Unrestricted current ratio				
Current assets less all external restrictions	36,579	1.50x	1.28x	> 1.50x
Current liabilities less specific purpose liabilities	24,445			
4. Debt service cover ratio				
Operating result before capital excluding interest and depreciation/impairment/amortisation ¹	17,079	6.19x	6.46x	> 2.00x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)	2,759			
5. Rates and annual charges outstanding percentage				
Rates and annual charges outstanding	3,922	12.50%	13.90%	< 10.00%
Rates and annual charges collectable	31,382			
6. Cash expense cover ratio				
Current year's cash and cash equivalents plus all term deposits	64,018	14.72 months	11.89 months	> 3.00 months
Monthly payments from cash flow of operating and financing activities	4,349			

(1) Excludes fair value increments on investment properties, reversal of revaluation decrements, reversal of impairment losses on receivables, net gain on sale of assets and net share of interests in joint ventures and associates using the equity method and includes pensioner rate subsidies

(2) Excludes impairment/revaluation decrements of IPPE, fair value decrements on investment properties, net loss on disposal of assets and net loss on share of interests in joint ventures and associates using the equity method

G6-2 Statement of performance measures by fund

	General Indicators ³		Water Indicators		Sewer Indicators		Benchmark
\$ '000	2024	Restated 2023	2024	2023	2024	2023	
1. Operating performance ratio							
Total continuing operating revenue excluding capital grants and contributions less operating expenses ^{1, 2}	(17.79)%	(10.90)%	13.39%	11.05%	23.07%	28.38%	> 0.00%
Total continuing operating revenue excluding capital grants and contributions ¹							
2. Own source operating revenue ratio							
Total continuing operating revenue excluding capital grants and contributions ¹	46.39%	45.86%	94.53%	99.02%	96.30%	99.49%	> 60.00%
Total continuing operating revenue ¹							
3. Unrestricted current ratio							
Current assets less all external restrictions	1.50x	1.28x	19.51x	17.20x	13.14x	11.11x	> 1.50x
Current liabilities less specific purpose liabilities							
4. Debt service cover ratio							
Operating result before capital excluding interest and depreciation/impairment/amortisation ¹	7.94x	9.09x	7.79x	6.48x	3.19x	3.14x	> 2.00x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)							
5. Rates and annual charges outstanding percentage							
Rates and annual charges outstanding	11.68%	13.43%	14.31%	15.15%	14.12%	14.69%	< 10.00%
Rates and annual charges collectable							
6. Cash expense cover ratio							
Current year's cash and cash equivalents plus all term deposits	10.98	8.11	45.63	59.74	49.71	42.22	> 3.00
Monthly payments from cash flow of operating and financing activities	months	months	months	months	months	months	months

(1) - (2) Refer to Notes at Note G6-1 above.

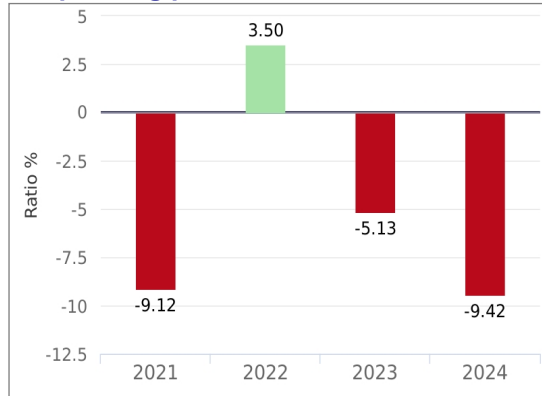
(3) General fund refers to all of Council's activities except for its water and sewer activities which are listed separately.

End of the audited financial statements

H Additional Council disclosures (unaudited)

H1-1 Statement of performance measures – consolidated results (graphs)

1. Operating performance ratio



Purpose of operating performance ratio

This ratio measures Council's achievement of containing operating expenditure within operating revenue.

Commentary on 2023/24 result

2023/24 ratio (9.42)%

The 2023 ratio was restated in 2023/24 to correct a material prior period error. The 'operating performance ratio' measures how well Council contained operating expenditure within operating revenue (excluding capital grants and contributions, fair value adjustments, and reversal of revaluation decrements). The benchmark set by OLG is greater than zero per cent.

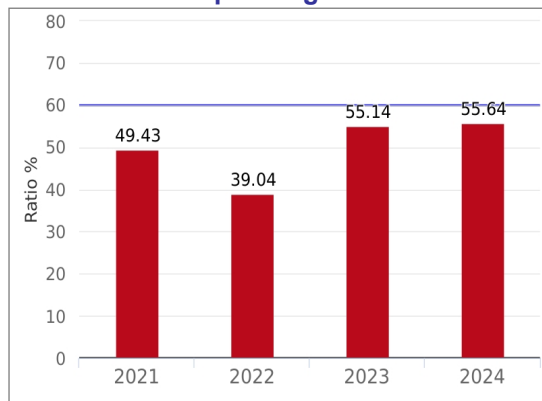
Benchmark: — > 0.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

2. Own source operating revenue ratio



Purpose of own source operating revenue ratio

This ratio measures fiscal flexibility. It is the degree of reliance on external funding sources such as operating grants and contributions.

Commentary on 2023/24 result

2023/24 ratio 55.64%

The Council did not meet the benchmark for the current reporting period. This indicates the Council continued to rely on grant funding for its operations. However, the ratio has improved from prior years. The benchmark set by OLG is greater than 60 per cent.

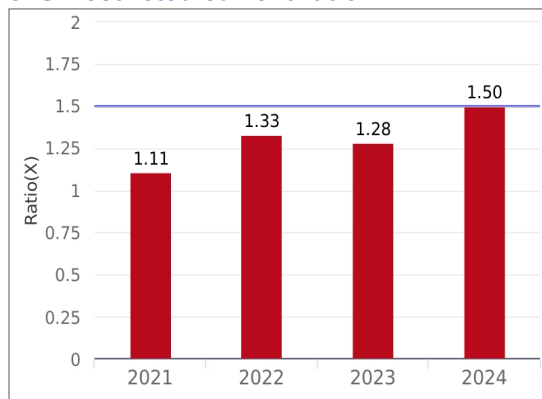
Benchmark: — > 60.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

3. Unrestricted current ratio



Purpose of unrestricted current ratio

To assess the adequacy of working capital and its ability to satisfy obligations in the short term for the unrestricted activities of Council.

Commentary on 2023/24 result

2023/24 ratio 1.50x

The Council did not meet the benchmark for the current reporting period. The 'unrestricted current ratio' is specific to local government and represents Council's ability to meet its short-term obligations as they fall due. The benchmark set by OLG is greater than 1.5 times.

Benchmark: — > 1.50x

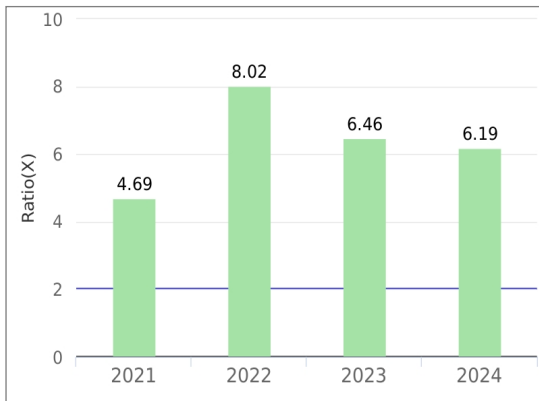
Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

H1-1 Statement of performance measures – consolidated results (graphs) (continued)

4. Debt service cover ratio



Purpose of debt service cover ratio

This ratio measures the availability of operating cash to service debt including interest, principal and lease payments

Commentary on 2023/24 result

2023/24 ratio 6.19x

The Council exceeded the benchmark for the current reporting period.
The 2023 ratio was restated in 2023/24 to correct a material prior period error. The 'debt service cover ratio' measures the operating cash to service debt including interest, principal and lease payments. The benchmark set by OLG is greater than two times.

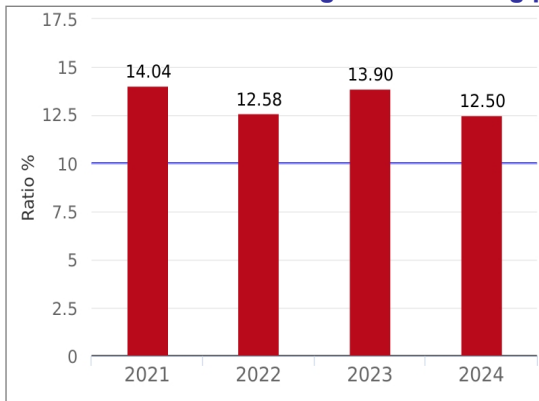
Benchmark: — > 2.00x

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

5. Rates and annual charges outstanding percentage



Purpose of rates and annual charges outstanding percentage

To assess the impact of uncollected rates and annual charges on Council's liquidity and the adequacy of recovery efforts.

Commentary on 2023/24 result

2023/24 ratio 12.50%

The Council did not meet the benchmark for the current reporting period. Management advised COVID-19, drought and rains has had a significant impact on the ability of rural ratepayers to pay rates and annual charges when they fall due. The benchmark set by OLG is for this ratio to be less than 10 per cent for regional and rural councils.

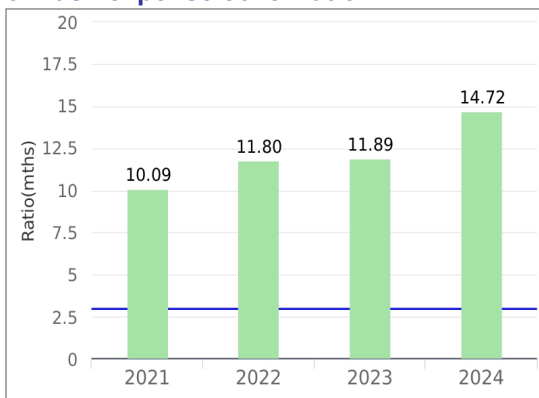
Benchmark: — < 10.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

6. Cash expense cover ratio



Purpose of cash expense cover ratio

This liquidity ratio indicates the number of months a Council can continue paying for its immediate expenses without additional cash inflow.

Commentary on 2023/24 result

2023/24 ratio 14.72 months

The Council exceeded the benchmark for the current reporting period.
This liquidity ratio indicates the number of months the Council can continue paying for its immediate expenses without additional cash inflow. The benchmark set by OLG is greater than three months.

Benchmark: — > 3.00months

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark



INDEPENDENT AUDITOR'S REPORT

Report on the general purpose financial statements

Hilltops Council

To the Councillors of the Hilltops Council

Opinion

I have audited the accompanying financial statements of the Hilltops Council (the Council), which comprise the Statement by Councillors and Management, the Income Statement and Statement of Comprehensive Income for the year ended 30 June 2024, the Statement of Financial Position as at 30 June 2024, the Statement of Changes in Equity and Statement of Cash Flows for the year then ended, and notes to the financial statements, including material accounting policy information and other explanatory information.

In my opinion:

- the Council's accounting records have been kept in accordance with the requirements of the *Local Government Act 1993*, Chapter 13, Part 3, Division 2 (the Division)
- the financial statements:
 - have been prepared, in all material respects, in accordance with the requirements of this Division
 - are consistent with the Council's accounting records
 - present fairly, in all material respects, the financial position of the Council as at 30 June 2024, and of its financial performance and its cash flows for the year then ended in accordance with Australian Accounting Standards
- all information relevant to the conduct of the audit has been obtained
- no material deficiencies in the accounting records or financial statements have come to light during the audit.

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I have fulfilled my other ethical responsibilities in accordance with APES 110.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Other Information

The Council's annual report for the year ended 30 June 2024 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the special purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the special purpose financial statements and Special Schedule - Permissible income for general rates.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements in accordance with Australian Accounting Standards and the *Local Government Act 1993* and for such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to:

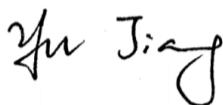
- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- on the Original Budget information included in the Income Statement, Statement of Cash Flows, and Note B5-1 'Material budget variations'
- on the Special Schedules. A separate opinion has been provided on Special Schedule - Permissible income for general rates
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.



Reiky Jiang
Delegate of the Auditor-General for New South Wales

18 October 2024
SYDNEY



Mr Brian Ingram
Mayor
Hilltops Council
189 Boorowa Street
YOUNG NSW 2594

Contact: Reiky Jiang
Phone no: 02 9275 7281
Our ref: R008-2124742775-7488

18 October 2024

Dear Mayor

Report on the Conduct of the Audit for the year ended 30 June 2024 Hilltops Council

I have audited the general-purpose financial statements (GPFS) of the Hilltops Council (the Council) for the year ended 30 June 2024 as required by section 415 of the *Local Government Act 1993* (the Act).

I expressed an unmodified opinion on the Council's GPFS.

This Report on the Conduct of the Audit (the Report) for the Council for the year ended 30 June 2024 is issued in accordance with section 417 of the Act. This Report should be read in conjunction with my audit opinion on the GPFS issued under section 417(2) of the Act.

INCOME STATEMENT

Operating result

	2024	2023*	Variance
	\$m	\$m	%
Rates and annual charges revenue	26.7	25.5	↑ 4.7
Grants and contributions revenue	39.2	35.1	↑ 11.7
Operating result from continuing operations	14.9	8.8	↑ 69.3
Net operating result before capital grants and contributions	(6.6)	(3.3)	↓ 100

* The 2023 comparatives have been restated to correct a prior period error. Note G4-1 of the financial statements provides details of the prior period error.

Rates and annual charges revenue (\$26.7 million) increased by \$1.2 million (4.7 per cent) in 2023–24 due to the following:

- the overall rate peg increase of 3.7 per cent for 2023–24, compared to 2.5 per cent rate increase (0.7 per cent rate peg with 1.8 per cent special rate variation) for 2022–23
- an increase in the number of rateable assessments and annual charges for residential and business land types compared to last year.

Grants and contributions revenue (\$39.2 million) increased by \$4.1 million (11.7 per cent) in 2023–24 primarily due to an increase of \$9.4 million in capital grants offset by a decrease of \$5.3 million in operational grants.

Council's operating result from continuing operations (\$14.9 million including depreciation, amortisation and impairment of non-financial assets) was \$6.1 million higher than the 2022–23 result mainly due to the increase in total grants and contributions of \$4.1 million.

The net operating result before capital grants and contributions (\$6.6 million deficit) was \$3.3 million lower than the 2022–23 result, which was primarily driven by:

- an increase in user charges and fees of \$2.4 million
- an increase in interest and investment income of \$2.0 million
- a decrease in operating grants and contributions of \$5.4 million
- an increase in depreciation, amortisation and impairment of non-financial assets of \$2.3 million.

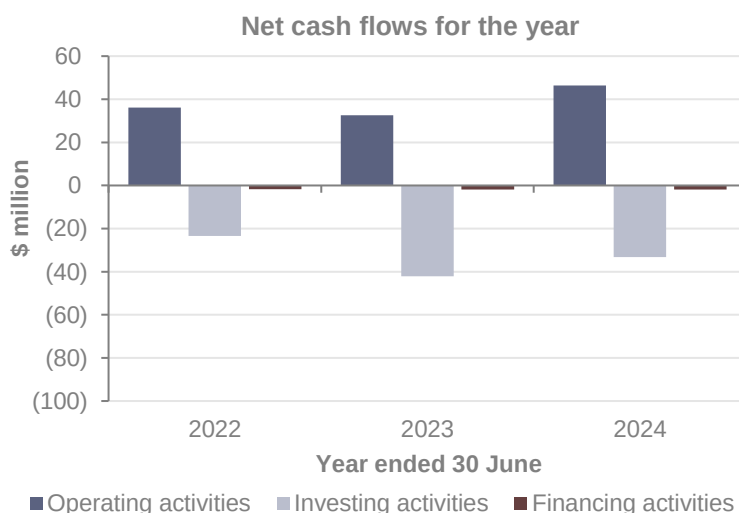
STATEMENT OF CASH FLOWS

The Statement of Cash Flows illustrates the flow of cash and cash equivalents moving in and out of Council during the year. The Council's cash and cash equivalents increased by \$11.4 million during FY2024.

Net cash inflows from operating activities increased by \$13.8 million. This was mainly due to an increase in receipt from grants and contributions of \$13.8 million.

Net cash outflows from investing activities decreased by \$8.9 million, driven by reduced net acquisition of term deposits of \$16.6 million, offset by increased payments for Infrastructure, Property, Plant and Equipment (IPPE) of \$7.9 million.

Net cash outflows from financing activities were consistent with the prior year and primarily attributable to the repayments of borrowings during 2023–24 financial year.



FINANCIAL POSITION

Cash and investments

Cash and investments	2024	2023	Commentary
	\$m	\$m	
Total cash, cash equivalents and investments	64.0	49.7	Council's cash, cash equivalents and investments at 30 June 2024 increased by \$14.3 million.
Restricted and allocated cash, cash equivalents and investments:			Cash, cash equivalents and investments subject to external restrictions are those which are only available for specific use by Council due to a restriction placed by legislation or third-party contractual agreement.
• External restrictions	39.2	38.9	Externally restricted balances primarily relate to the water and sewer funds, regional waste group and developer contributions across the general, water and sewer funds.
• Internal allocations	6.4	7.5	Internal allocations are determined by council policies or decisions, which are subject to change. They include work programs such as plant and vehicle replacement, employee leave entitlement and quarries and pit restoration. Through Council resolution, internal allocations can be adjusted to enable the use of these funds to provide liquidity for general operational use as required.

Debt

At 30 June 2024, Council had:

- \$11.9 million in secured loans (\$13.7 million in 2022-23)
- access to \$0.5 million in bank overdraft facilities (\$0.5 million in 2022-23) which were undrawn and available to Council at the reporting date
- \$100,000 in credit card/purchase card facilities (\$100,000 in 2022-23) with \$28,000 drawn down at the reporting date.

PERFORMANCE

Performance measures

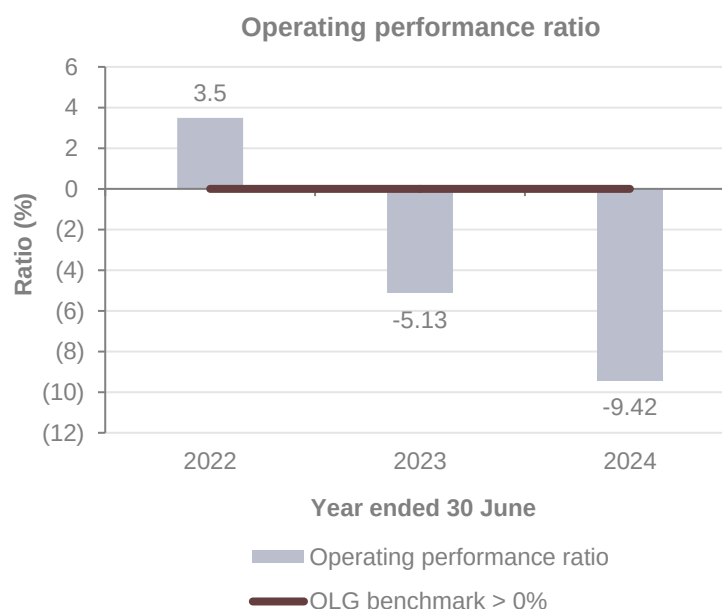
The following section provides an overview of the Council's performance against the performance measures and performance benchmarks set by the Office of Local Government (OLG) within the Department of Planning, Housing and Infrastructure.

Operating performance ratio

Council did not meet the benchmark for the current reporting period predominately driven by a decrease in grants and contributions provided for operating purposes and an increase depreciation, amortisation and impairment of non-financial assets year on year.

The 2023 ratio was restated to correct a prior period error.

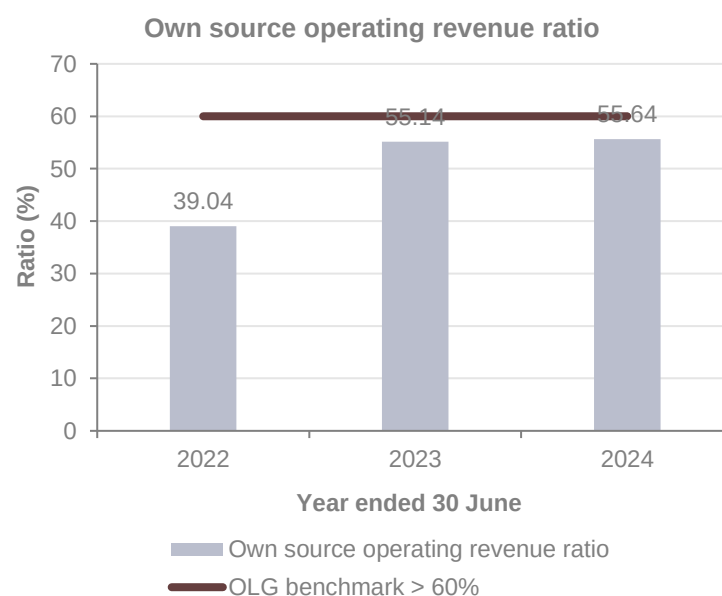
The 'operating performance ratio' measures how well council contained operating expenditure within operating revenue (excluding capital grants and contributions, fair value adjustments, and reversal of revaluation decrements). The benchmark set by OLG is greater than zero per cent.



Own source operating revenue ratio

Council did not meet the benchmark for the current reporting period. This indicates the Council continued to rely on grant funding for its operations. However, the ratio has improved from prior years.

The 'own source operating revenue ratio' measures council's fiscal flexibility and the degree to which it relies on external funding sources such as operating grants and contributions. The benchmark set by OLG is greater than 60 per cent.

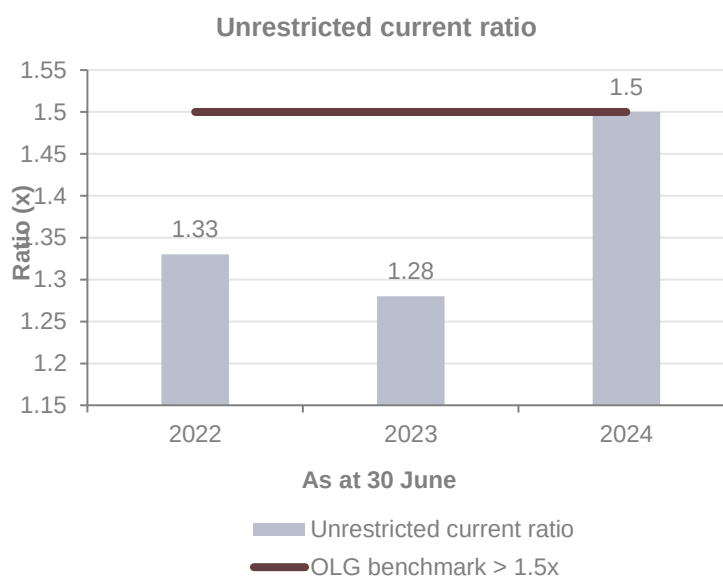


Unrestricted current ratio

Council did not meet the benchmark for the current reporting period.

The 2023 ratio was restated to correct a prior period error.

The 'unrestricted current ratio' is specific to local government and represents council's ability to meet its short-term obligations as they fall due. The benchmark set by OLG is greater than 1.5 times.

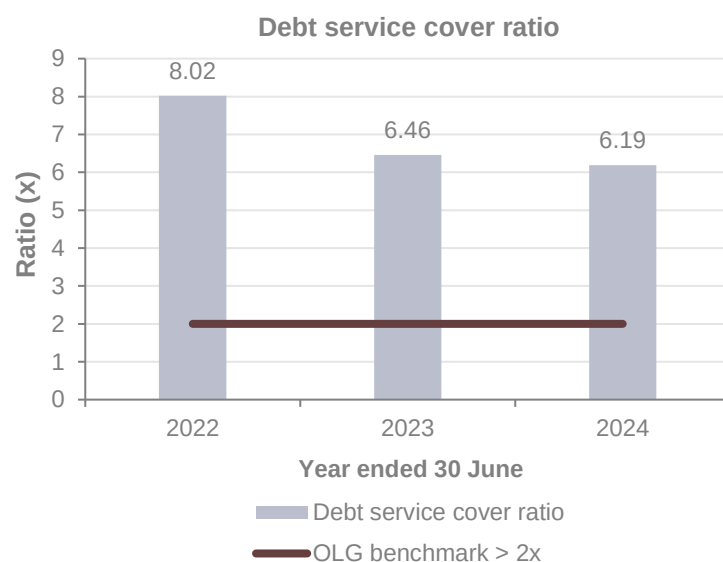


Debt service cover ratio

Council exceeded the benchmark for the current reporting period.

The 2023 ratio was restated to correct a prior period error.

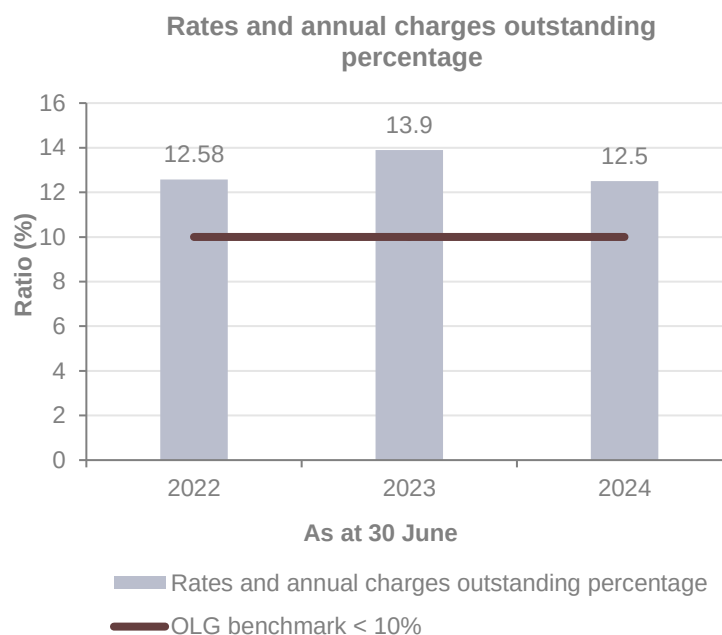
The 'debt service cover ratio' measures the operating cash to service debt including interest, principal and lease payments. The benchmark set by OLG is greater than two times.



Rates and annual charges outstanding percentage

Council did not meet the benchmark for the current reporting period.

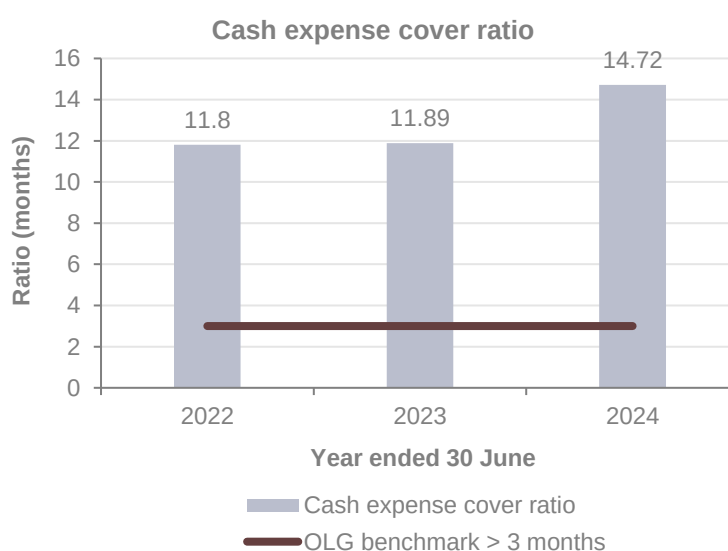
The 'rates and annual charges outstanding percentage' assesses the impact of uncollected rates and annual charges on Council's liquidity and the adequacy of debt recovery efforts. The benchmark set by OLG is for this ratio to be less than 10 per cent for regional and rural councils.



Cash expense cover ratio

Council exceeded the benchmark for the current reporting period.

This liquidity ratio indicates the number of months the council can continue paying for its immediate expenses without additional cash inflow. The benchmark set by OLG is greater than three months.



Infrastructure, property, plant and equipment renewals

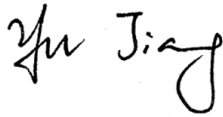
Council renewed \$25.1 million of infrastructure, property, plant and equipment during the 2023-24 financial year. This was mainly spent on roads, repairing assets damaged by natural disasters and plant and equipment. A further \$6.1 million was spent on new assets including roads, bridges capital works in progress and other open space/recreational assets.

OTHER MATTERS

Legislative compliance

My audit procedures did not identify any instances of material non-compliance with the financial reporting requirements in Chapter 13, Part 3, Division 2 of the LG Act and the associated regulation or a material deficiency in the Council's accounting records or financial statements. The Council's:

- accounting records were maintained in a manner and form to allow the GPFS to be prepared and effectively audited
- staff provided all accounting records and information relevant to the audit.

A handwritten signature in black ink, appearing to read 'Yu Jiang'.

Reiky Jiang
Director, Financial Audit

Delegate of the Auditor-General for New South Wales

Hilltops Council

SPECIAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2024



Special Purpose Financial Statements

for the year ended 30 June 2024

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Background

- i. These Special Purpose Financial Statements have been prepared for the use by both Council and the Office of Local Government in fulfilling their requirements under National Competition Policy.
- ii. The principle of competitive neutrality is based on the concept of a 'level playing field' between persons/entities competing in a market place, particularly between private and public sector competitors.

Essentially, the principle is that government businesses, whether Commonwealth, state or local, should operate without net competitive advantages over other businesses as a result of their public ownership.

- iii. For Council, the principle of competitive neutrality and public reporting applies only to declared business activities.

These include **(a)** those activities classified by the Australian Bureau of Statistics as business activities being water supply, sewerage services, abattoirs, gas production and reticulation, and **(b)** those activities with a turnover of more than \$2 million that Council has formally declared as a business activity (defined as Category 1 activities).

- iv. In preparing these financial statements for Council's self-classified Category 1 businesses and ABS-defined activities, councils must **(a)** adopt a corporatisation model and **(b)** apply full cost attribution including tax-equivalent regime payments and debt guarantee fees (where the business benefits from Council's borrowing position by comparison with commercial rates).

Hilltops Council

Special Purpose Financial Statements

for the year ended 30 June 2024

Statement by Councillors and Management made pursuant to the Local Government Code of Accounting Practice and Financial Reporting

The attached special purpose financial statements have been prepared in accordance with:

- NSW Government Policy Statement, *Application of National Competition Policy to Local Government*
- Division of Local Government Guidelines, *Pricing and Costing for Council Businesses: A Guide to Competitive Neutrality*
- The Local Government Code of Accounting Practice and Financial Reporting
- Sections 3 and 4 of the NSW Department of Climate Change, Energy, the Environment and Water's (DCCEEW) *Regulatory and assurance framework for local water utilities, July 2022*

To the best of our knowledge and belief, these statements:

- present fairly the operating result and financial position for each of Council's declared business activities for the year,
- accord with Council's accounting and other records; and
- present overhead reallocation charges to the water and sewerage businesses as fair and reasonable.

We are not aware of any matter that would render these statements false or misleading in any way.

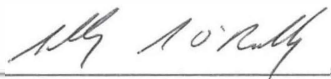
Signed in accordance with a resolution of Council made on 23 October 2024.



Clr Brian Ingram
Mayor
17 October 2024



Clr Tony Flanery
Councillor
17 October 2024



Mr Anthony O'Reilly
General Manager
17 October 2024



Mr Norman Smith
Responsible Accounting Officer
17 October 2024

Hilltops Council

Income Statement of water supply business activity

for the year ended 30 June 2024

\$ '000	2024	2023
Income from continuing operations		
Access charges	3,647	3,452
User charges	6,015	4,957
Fees	62	21
Interest and investment income	714	268
Grants and contributions provided for operating purposes	278	(108)
Total income from continuing operations	10,716	8,590
Expenses from continuing operations		
Employee benefits and on-costs	1,017	1,007
Borrowing costs	37	43
Materials and services	3,284	1,607
Depreciation, amortisation and impairment	1,529	1,502
Water purchase charges	3,403	3,482
Other expenses	11	–
Total expenses from continuing operations	9,281	7,641
Surplus (deficit) from continuing operations before capital amounts	1,435	949
Grants and contributions provided for capital purposes	326	86
Surplus (deficit) from continuing operations after capital amounts	1,761	1,035
Surplus (deficit) from all operations before tax	1,761	1,035
Less: corporate taxation equivalent (25%) [based on result before capital]	(359)	(237)
Surplus (deficit) after tax	1,402	798
Plus opening retained profits	59,999	58,965
Less:		
– Corporate taxation equivalent	359	237
– Other adjustments (rounding)	–	(1)
Plus adjustments for amounts unpaid:		
Closing accumulated surplus	61,760	59,999
Return on capital %	3.0%	2.1%
Subsidy from Council	657	893
Calculation of dividend payable:		
Surplus (deficit) after tax	1,402	798
Less: capital grants and contributions (excluding developer contributions)	(100)	(86)
Surplus for dividend calculation purposes	1,302	712
Potential dividend calculated from surplus	651	356

Hilltops Council

Income Statement of sewerage business activity

for the year ended 30 June 2024

\$ '000	2024	2023
Income from continuing operations		
Access charges	4,979	4,724
User charges	64	19
Liquid trade waste charges	57	19
Fees	4	14
Interest and investment income	406	143
Total income from continuing operations	5,510	4,919
Expenses from continuing operations		
Employee benefits and on-costs	590	520
Borrowing costs	328	350
Materials and services	1,724	1,160
Depreciation, amortisation and impairment	1,597	1,493
Total expenses from continuing operations	4,239	3,523
Surplus (deficit) from continuing operations before capital amounts	1,271	1,396
Grants and contributions provided for capital purposes	212	25
Surplus (deficit) from continuing operations after capital amounts	1,483	1,421
Surplus (deficit) from all operations before tax	1,483	1,421
Less: corporate taxation equivalent (25%) [based on result before capital]	(318)	(349)
Surplus (deficit) after tax	1,165	1,072
Plus opening retained profits	44,202	42,783
Less:		
– Corporate taxation equivalent	318	349
- Other adjustments (rounding)	1	(2)
Plus adjustments for amounts unpaid:		
Closing accumulated surplus	45,686	44,202
Return on capital %	3.1%	3.4%
Subsidy from Council	647	294
Calculation of dividend payable:		
Surplus (deficit) after tax	1,165	1,072
Less: capital grants and contributions (excluding developer contributions)	–	(25)
Surplus for dividend calculation purposes	1,165	1,047
Potential dividend calculated from surplus	583	524

Hilltops Council

Income Statement - South West Regional Waste Management Group

for the year ended 30 June 2024

	2024 Category 1	2023 ¹ Category 1 Restated
\$ '000		
Income from continuing operations		
Interest and investment income	105	85
Grants and contributions provided for operating purposes	2,264	2,124
Total income from continuing operations	2,369	2,209
Expenses from continuing operations		
Employee benefits and on-costs	63	11
Borrowing costs	25	1
Materials and contracts	1,819	1,435
Depreciation, amortisation and impairment	173	203
Total expenses from continuing operations	2,080	1,650
Surplus (deficit) from continuing operations before capital amounts	289	559
Surplus (deficit) from continuing operations after capital amounts	289	559
Surplus (deficit) from all operations before tax	289	559
Less: corporate taxation equivalent (25%) [based on result before capital]	(72)	(140)
SURPLUS (DEFICIT) AFTER TAX	217	419
Plus opening retained profits	5,158	4,600
Plus/less: other adjustments (direct to equity)	1	(1)
– Corporate taxation equivalent	72	140
Closing accumulated surplus	5,448	5,158
Return on capital %	7.3%	31.6%

(1) Restated for remediation asset and liability movements

Hilltops Council

Income Statement – South West Rural Fire Zone

for the year ended 30 June 2024

\$ '000	2024 Category 2	2023 Category 2
Income from continuing operations		
Grants and contributions provided for operating purposes	65	57
Total income from continuing operations	65	57
Expenses from continuing operations		
Employee benefits and on-costs	–	1
Materials and contracts	49	48
Total expenses from continuing operations	49	49
Surplus (deficit) from continuing operations before capital amounts	16	8
Surplus (deficit) from continuing operations after capital amounts	16	8
Surplus (deficit) from all operations before tax	16	8
Less: corporate taxation equivalent (25%) [based on result before capital]	(4)	(2)
SURPLUS (DEFICIT) AFTER TAX	12	6
Plus opening retained profits	37	29
– Corporate taxation equivalent	4	2
Closing accumulated surplus	53	37

Hilltops Council

Statement of Financial Position of water supply business activity

as at 30 June 2024

\$ '000	2024	2023
ASSETS		
Current assets		
Contract assets and contract cost assets	103	—
Cash and cash equivalents	11,187	10,923
Investments	8,064	8,064
Receivables	3,161	2,424
Total current assets	22,515	21,411
Non-current assets		
Receivables	127	178
Infrastructure, property, plant and equipment	49,519	46,886
Total non-current assets	49,646	47,064
Total assets	72,161	68,475
LIABILITIES		
Current liabilities		
Payables	580	692
Borrowings	353	348
Employee benefit provisions	221	205
Total current liabilities	1,154	1,245
Non-current liabilities		
Borrowings	1,847	2,200
Total non-current liabilities	1,847	2,200
Total liabilities	3,001	3,445
Net assets	69,160	65,030
EQUITY		
Accumulated surplus	61,760	59,999
Revaluation reserves	7,400	5,031
Total equity	69,160	65,030

Hilltops Council

Statement of Financial Position of sewerage business activity

as at 30 June 2024

\$ '000	2024	2023
ASSETS		
Current assets		
Cash and cash equivalents	9,962	7,853
Investments	1,075	1,075
Receivables	841	796
Total current assets	11,878	9,724
Non-current assets		
Receivables	1	1
Infrastructure, property, plant and equipment	52,227	50,748
Total non-current assets	52,228	50,749
Total assets	64,106	60,473
LIABILITIES		
Current liabilities		
Payables	41	91
Borrowings	745	675
Employee benefit provisions	118	109
Total current liabilities	904	875
Non-current liabilities		
Borrowings	7,057	7,802
Total non-current liabilities	7,057	7,802
Total liabilities	7,961	8,677
Net assets	56,145	51,796
EQUITY		
Accumulated surplus	45,686	44,202
Revaluation reserves	10,459	7,594
Total equity	56,145	51,796

Hilltops Council

Statement of Financial Position of South West Regional Waste Management Group

as at 30 June 2024

	2024 Category 1	2023 ¹ Category 1 Restated	2022 ¹ Category 1 Restated
\$ '000			
ASSETS			
Current assets			
Cash and cash equivalents	3,194	5,620	4,981
Receivables	353	179	161
Total current assets	3,547	5,799	5,142
Non-current assets			
Infrastructure, property, plant and equipment	4,288	1,773	1,626
Total non-current assets	4,288	1,773	1,626
Total assets	7,835	7,572	6,768
LIABILITIES			
Current liabilities			
Payables	304	356	111
Total current liabilities	304	356	111
Non-current liabilities			
Provisions	2,083	2,058	2,057
Total non-current liabilities	2,083	2,058	2,057
Total liabilities	2,387	2,414	2,168
NET ASSETS	5,448	5,158	4,600
EQUITY			
Accumulated surplus	5,446	5,158	4,600
Revaluation reserves	2	–	–
Total equity	5,448	5,158	4,600

(1) Restated for remediation asset and liability movements

Hilltops Council

Statement of Financial Position – South West Rural Fire Zone

as at 30 June 2024

\$ '000	2024 Category 2	2023 Category 2
ASSETS		
Current assets		
Cash and cash equivalents	53	37
Total current assets	53	37
Total assets	53	37
LIABILITIES		
Current liabilities		
Payables	1	–
Total current liabilities	1	–
Total liabilities	1	–
NET ASSETS	52	37
EQUITY		
Accumulated surplus	52	37
Total equity	52	37

Note – Material accounting policy information

A statement summarising the supplemental accounting policies adopted in the preparation of the special purpose financial statements (SPFS) for National Competition Policy (NCP) reporting purposes follows.

These financial statements are SPFS prepared for use by Council and the Office of Local Government. For the purposes of these statements, the Council is a non-reporting not-for-profit entity.

The figures presented in these special purpose financial statements have been prepared in accordance with the recognition and measurement criteria of relevant Australian Accounting Standards, other authoritative pronouncements of the Australian Accounting Standards Board (AASB) and Australian Accounting Interpretations.

The disclosures in these special purpose financial statements have been prepared in accordance with the *Local Government Act 1993* (Act), the *Local Government (General) Regulation 2022* (Regulation) and the Local Government Code of Accounting Practice and Financial Reporting.

The statements are prepared on an accruals basis. They are based on historic costs and do not take into account changing money values or, except where specifically stated, fair value of non-current assets. Certain taxes and other costs, appropriately described, have been imputed for the purposes of the National Competition Policy.

The Statement of Financial Position includes notional assets/liabilities receivable from/payable to Council's general fund. These balances reflect a notional intra-entity funding arrangement with the declared business activities.

National Competition Policy

Council has adopted the principle of 'competitive neutrality' in its business activities as part of the National Competition Policy which is being applied throughout Australia at all levels of government. The framework for its application is set out in the June 1996 NSW Government Policy statement titled 'Application of National Competition Policy to Local Government'. *The Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality* issued by the Office of Local Government in July 1997 has also been adopted.

The pricing and costing guidelines outline the process for identifying and allocating costs to activities and provide a standard for disclosure requirements. These disclosures are reflected in Council's pricing and/or financial reporting systems and include taxation equivalents, Council subsidies, and returns on investments (rate of return and dividends paid).

Declared business activities

In accordance with *Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality*, Council has declared that the following are to be considered as business activities:

Category 1

(where gross operating turnover is over \$2 million)

a. Hilltops Water Supply

Provision of reticulated water to the community of Hilltops.

b. Hilltops Sewerage Services

Provision of sewerage services to the community of Hilltops.

c. South West Slopes Regional Waste Management Group.

Provision of a waste facility for the region.

Category 2

(where gross operating turnover is less than \$2 million)

a. South West Rural Fire Zone

Monetary amounts

Amounts shown in the financial statements are in Australian dollars and rounded to the nearest one thousand dollars.

Taxation equivalent charges

Council is liable to pay various taxes and financial duties. Where this is the case, they are disclosed as a cost of operations just like all other costs. However, where Council does not pay some taxes, which are generally paid by private sector businesses, such as income tax, these equivalent tax payments have been applied to all Council-nominated business activities and are

continued on next page ...

Note – Material accounting policy information (continued)

reflected in special purpose financial statements. For the purposes of disclosing comparative information relevant to the private sector equivalent, the following taxation equivalents have been applied to all Council-nominated business activities (this does not include Council's non-business activities):

Notional rate applied (%)

Corporate income tax rate – **25%** (LY 25%)

Land tax – the first \$1,075,000 of combined land values attracts **0%**. For the combined land values in excess of \$1,075,000 up to \$6,571,000 the rate is **\$100 + 1.6%**. For the remaining combined land value that exceeds \$6,571,000 a premium marginal rate of **2.0%** applies.

Payroll tax – **5.45%** on the value of taxable salaries and wages in excess of \$1,200,000.

In accordance with DCCEEW's regulatory and assurance framework, a payment for the amount calculated as the annual tax equivalent charges (excluding income tax) must be paid from water supply and sewerage business activities.

The payment of taxation equivalent charges, referred to in the regulatory and assurance framework as a 'dividend for taxation equivalent', may be applied for any purpose allowed under the Act.

Achievement of substantial compliance to DCCEEW's regulatory and assurance framework is not a prerequisite for the payment of the tax equivalent charges; however the payment must not exceed \$3 per assessment.

Income tax

An income tax equivalent has been applied on the profits of the business activities.

Whilst income tax is not a specific cost for the purpose of pricing a good or service, it needs to be taken into account in terms of assessing the rate of return required on capital invested.

Accordingly, the return on capital invested is set at a pre-tax level - gain/(loss) from ordinary activities before capital amounts, as would be applied by a private sector competitor. That is, it should include a provision equivalent to the corporate income tax rate, currently 25% (LY 25%).

Income tax is only applied where a gain/ (loss) from ordinary activities before capital amounts has been achieved.

Since the taxation equivalent is notional – that is, it is payable to Council as the 'owner' of business operations - it represents an internal payment and has no effect on the operations of the Council. Accordingly, there is no need for disclosure of internal charges in the SPFS.

The rate applied of 25% is the equivalent company tax rate prevalent at reporting date. No adjustments have been made for variations that have occurred during the year.

Local government rates and charges

A calculation of the equivalent rates and charges for all Category 1 businesses has been applied to all assets owned, or exclusively used by the business activity.

Loan and debt guarantee fees

The debt guarantee fee is designed to ensure that Council business activities face 'true' commercial borrowing costs in line with private sector competitors. In order to calculate a debt guarantee fee, Council has determined what the differential borrowing rate would have been between the commercial rate and Council's borrowing rate for its business activities.

(i) Subsidies

Government policy requires that subsidies provided to customers, and the funding of those subsidies, must be explicitly disclosed. Subsidies occur where Council provides services on a less than cost recovery basis. This option is exercised on a range of services in order for Council to meet its community service obligations. The overall effect of subsidies is contained within the Income Statements of business activities.

(ii) Return on investments (rate of return)

The NCP policy statement requires that councils with Category 1 businesses 'would be expected to generate a return on capital funds employed that is comparable to rates of return for private businesses operating in a similar field'.

Note – Material accounting policy information (continued)

Funds are subsequently available for meeting commitments or financing future investment strategies. The rate of return is disclosed for each of Council's business activities on the Income Statement.

The rate of return is calculated as follows:

Operating result before capital income + interest expense

Written down value of I,PP&E as at 30 June

As a minimum, business activities should generate a return equal to the Commonwealth 10 year bond rate which is 4.30% at 30/6/24.

(iii) Dividends

Council is not required to pay dividends to either itself as owner of a range of businesses, or to any external entities.

A local government water supply and sewerage business is permitted to pay annual dividends from their water supply or sewerage business surpluses. Each dividend must be calculated and approved in accordance with DCCEEW's regulatory and assurance framework and must not exceed 50% of the relevant surplus in any one year, or the number of water supply or sewerage assessments at 30 June 2024 multiplied by \$30 (less the payment for tax equivalent charges, not exceeding \$3 per assessment).

In accordance with DCCEEW's regulatory and assurance framework, statement of compliance and statement of dividend payment, dividend payment form and unqualified independent financial audit report are submitted to DCCEEW.

Correction of errors

Nature of prior period error

As part of the preparation of the 2023-24 Financial Reports, the Council performed revaluations of their remediation provisions which identified errors to a landfill previously recognised. These errors were primarily based on inaccurate measurement of remediation areas which also impacted prior years.

Given that the error is considered material to Council's financial statements, the error has been corrected by restating each of the affected financial statement line items for the prior periods:

The errors identified above have been corrected by restating the balances at the beginning of the earliest period presented (1 July 2022) and taking the adjustment through to accumulated surplus at that date.

Comparatives have been changed to reflect the correction of errors. The impact on each line item is shown in the tables below

Changes to the opening Statement of Financial Position at 1 July 2022

Statement of Financial Position

\$ '000	Original Balance 1 July, 2022	Impact Increase/ (decrease)	Restated Balance 1 July, 2022
Infrastructure, property plant and equipment	7,102	(5,476)	1,626
Total non-current assets	7,102	(5,476)	1,626
Total assets	12,244	(5,476)	6,768
Provisions	11,127	(9,070)	2,057
Total non-current liabilities	11,127	(9,070)	2,057
Total liabilities	11,238	(9,070)	2,168
Net assets	1,006	3,594	4,600
Accumulated Surplus	(1,677)	6,277	4,600
Revaluation Reserves	2,683	(2,683)	–
Total equity	1,006	3,594	4,600

Adjustments to the comparative figures for the year ended 30 June 2023

Statement of Financial Position

\$ '000	Original Balance 30 June, 2023	Impact Increase/ (decrease)	Restated Balance 30 June, 2023
Infrastructure, property plant and equipment	6,751	(4,978)	1,773
Total non-current assets	6,751	(4,978)	1,773
Total assets	12,550	(4,978)	7,572
Provisions	11,446	(9,388)	2,058
Total non-current liabilities	11,446	(9,388)	2,058
Total liabilities	11,802	(9,388)	2,414
Net assets	748	4,410	5,158
Accumulated surplus	(1,935)	7,093	5,158
Asset Revaluation Reserve	2,683	(2,683)	–
Total equity	748	4,410	5,158

Correction of errors (continued)

Income Statement for the year ended 30 June 2022

\$ '000	Original Balance 30 June, 2023	Impact Increase/ (decrease)	Restated Balance 30 June, 2023
Depreciation, amortisation and impairment	701	(498)	203
Borrowing Costs	319	(318)	1
Total expenses from continuing operations	2,466	(816)	1,650
Accumulated result	(257)	816	559
Surplus (deficit) from continuing operations before capital amounts	(257)	816	559
Surplus (deficit) from continuing operations after capital amounts	(257)	816	559
Surplus (deficit) from all operations before tax	(257)	816	559
Less: Corporate taxation equivalent	—	(140)	(140)
Surplus/ (Deficit) after tax	(257)	676	419
Plus opening retained profits	(1,677)	6,277	4,600
add back corporate taxation equivalent	—	140	140
Closing accumulated surplus	(1,935)	7,093	5,158
Return on Capital %	0.9%	30.7%	31.6%



INDEPENDENT AUDITOR'S REPORT

Report on the special purpose financial statements

Hilltops Council

To the Councillors of the Hilltops Council

Opinion

I have audited the accompanying special purpose financial statements (the financial statements) of the Hilltops Council's (the Council) Declared Business Activities, which comprise the Statement by Councillors and Management, the Income Statement of each Declared Business Activity for the year ended 30 June 2024, the Statement of Financial Position of each Declared Business Activity as at 30 June 2024 and the Material accounting policy information note.

The Declared Business Activities of the Council are:

- water supply
- sewerage
- South West Regional Waste Management Group
- South West Rural Fire Zone.

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Council's declared Business Activities as at 30 June 2024, and their financial performance for the year then ended, in accordance with the Australian Accounting Standards described in the Material accounting policy information note and the Local Government Code of Accounting Practice and Financial Reporting 2023–24 (LG Code).

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as the auditor of councils
- precluding the Auditor-General from providing non-audit services.

I have fulfilled my other ethical responsibilities in accordance with APES 110.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to the Material accounting policy information note to the financial statements which describes the basis of accounting. The financial statements have been prepared for the purpose of fulfilling the Council's financial reporting responsibilities under the LG Code. As a result, the financial statements may not be suitable for another purpose.

Other Information

The Council's annual report for the year ended 30 June 2024 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and Special Schedule 'Permissible income for general rates'.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements and for determining that the accounting policies, described in the Material accounting policy information note to the financial statements, are appropriate to meet the requirements in the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to:

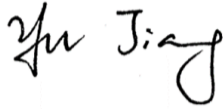
- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.



Reiky Jiang
Delegate of the Auditor-General for New South Wales

18 October 2024
SYDNEY

Hilltops Council

SPECIAL SCHEDULES
for the year ended 30 June 2024



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Report on infrastructure assets as at 30 June 2024	7

Hilltops Council

Permissible income for general rates

\$ '000	Notes	Calculation 2023/24	Calculation 2024/25
Notional general income calculation ¹			
Last year notional general income yield	a	14,537	15,105
Plus or minus adjustments ²	b	29	46
Notional general income	c = a + b	14,566	15,151
Permissible income calculation			
Percentage increase	d	3.70%	5.10%
Plus percentage increase amount ³	f = d x (c + e)	539	773
Sub-total	g = (c + e + f)	15,105	15,924
Plus (or minus) last year's carry forward total	h	1	13
Less valuation objections claimed in the previous year	i	—	(12)
Sub-total	j = (h + i)	1	1
Total permissible income	k = g + j	15,106	15,925
Less notional general income yield	l	15,105	15,920
Catch-up or (excess) result	m = k – l	1	5
Plus income lost due to valuation objections claimed ⁴	n	12	2
Carry forward to next year ⁶	p = m + n + o	13	7

Notes

- (1) The notional general income will not reconcile with rate income in the financial statements in the corresponding year. The statements are reported on an accrual accounting basis which include amounts that relate to prior years' rates income.
- (2) Adjustments account for changes in the number of assessments and any increase or decrease in land value occurring during the year. The adjustments are called 'supplementary valuations' as defined in the *Valuation of Land Act 1916 (NSW)*.
- (3) The 'percentage increase' is inclusive of the rate-peg percentage, and/or special variation and/or Crown land adjustment (where applicable).
- (4) Valuation objections are unexpected changes in land values as a result of land owners successfully objecting to the land value issued by the Valuer General. Councils can claim the value of the income lost due to valuation objections in any single year.
- (6) Carry-forward amounts which are in excess (an amount that exceeds the permissible income) require Ministerial approval by order published in the *NSW Government Gazette* in accordance with section 512 of the Act. The OLG will extract these amounts from Council's Permissible income for general rates Statement in the financial data return (FDR) to administer this process.



INDEPENDENT AUDITOR'S REPORT

Special Schedule – Permissible income for general rates

Hilltops Council

To the Councillors of the Hilltops Council

Opinion

I have audited the accompanying Special Schedule – Permissible income for general rates (the Schedule) of the Hilltops Council (the Council) for the year ending 30 June 2025.

In my opinion, the Schedule is prepared, in all material respects in accordance with the requirements of the Local Government Code of Accounting Practice and Financial Reporting 2023–24 (LG Code) and is in accordance with the books and records of the Council.

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Schedule' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I have fulfilled my other ethical responsibilities in accordance with APES 110.

I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to the special purpose framework used to prepare the Schedule. The Schedule has been prepared for the purpose of fulfilling the Council's reporting obligations under the LG Code. As a result, the Schedule may not be suitable for another purpose.

Other Information

The Council's annual report for the year ended 30 June 2024 includes other information in addition to the Schedule and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements, special purpose financial statements and Special Schedule 'Report on infrastructure assets as at 30 June 2024'.

My opinion on the Schedule does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and the special purpose financial statements.

In connection with my audit of the Schedule, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Schedule or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Schedule

The Councillors are responsible for the preparation of the Schedule in accordance with the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation of the Schedule that is free from material misstatement, whether due to fraud or error.

In preparing the Schedule, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Schedule

My objectives are to:

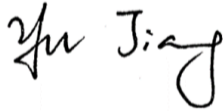
- obtain reasonable assurance whether the Schedule as a whole is free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the Schedule.

A description of my responsibilities for the audit of the Schedule is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar8.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited Schedule on any website where it may be presented
- about any other information which may have been hyperlinked to/from the Schedule.



Reiky Jiang
Delegate of the Auditor-General for New South Wales

18 October 2024
SYDNEY

Hilltops Council

Report on infrastructure assets as at 30 June 2024

Asset Class	Asset Category	Estimated cost to bring assets to satisfactory standard	Estimated cost to bring to the agreed level of service set by Council	2023/24 Required maintenance ^a	2023/24 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
		\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	1	2	3	4	5
Buildings	Buildings	742	3,533	329	297	79,775	163,378	10.0%	14.0%	55.0%	21.0%	0.0%
	Buildings Water	—	—	—	12	47	66	100.0%	0.0%	0.0%	0.0%	0.0%
	Buildings Sewer	—	—	—	19	1,207	1,659	90.0%	0.0%	0.0%	10.0%	0.0%
	Sub-total	742	3,533	329	328	81,029	165,103	10.8%	13.9%	54.4%	20.9%	0.0%
Other structures	Other structures	839	2,452	178	183	6,725	10,228	41.0%	20.0%	16.0%	8.0%	15.0%
	Sub-total	839	2,452	178	183	6,725	10,228	41.0%	20.0%	16.0%	8.0%	15.0%
Roads	Bridges	3,249	12,665	254	279	55,574	92,282	27.0%	18.0%	37.0%	8.0%	10.0%
	Footpaths	226	1,291	118	98	10,830	15,147	57.0%	17.0%	24.0%	2.0%	0.0%
	K&G	481	1,576	246	127	9,797	21,251	13.0%	14.0%	67.0%	2.0%	4.0%
	Roads	15,309	42,396	6,090	6,210	338,071	529,862	35.0%	32.0%	23.0%	6.0%	4.0%
	Earthworks	—	—	—	—	156,261	156,261	100.0%	0.0%	0.0%	0.0%	0.0%
	Sub-total	19,265	57,928	6,708	6,714	570,533	814,803	46.4%	23.5%	21.3%	4.9%	3.9%
Water supply network	Water supply network	5,741	16,758	729	674	42,391	97,217	9.0%	34.0%	43.0%	6.0%	8.0%
	Reservoirs	2,114	3,419	115	46	4,968	9,841	29.0%	8.0%	20.0%	17.0%	26.0%
	Pump Stations	133	1,261	69	204	1,214	2,399	33.0%	30.0%	19.0%	18.0%	0.0%
	Other	—	305	19	—	437	797	29.0%	19.0%	52.0%	0.0%	0.0%
	Sub-total	7,988	21,743	932	924	49,010	110,254	11.5%	31.5%	40.5%	7.2%	9.3%
Sewerage network	Sewerage network	2,875	2,425	316	170	31,115	60,894	22.0%	13.0%	42.0%	18.0%	5.0%
	Treatment Plant	5,525	14,567	556	723	17,018	34,463	62.0%	1.0%	7.0%	0.0%	30.0%
	Pump Stations	311	767	87	67	1,015	2,663	4.0%	12.0%	53.0%	7.0%	24.0%
	Other	1,103	589	185	211	1,302	2,742	0.0%	21.0%	0.0%	0.0%	79.0%
	Sub-total	9,814	18,348	1,144	1,171	50,450	100,762	34.6%	9.1%	29.2%	11.1%	16.0%
Stormwater drainage	Other	5,105	11,478	129	89	15,052	36,092	17.0%	3.0%	73.0%	7.0%	0.0%
	Sub-total	5,105	11,478	129	89	15,052	36,092	17.0%	3.0%	73.0%	7.0%	0.0%
Open space / recreational assets	Swimming pools	565	2,918	414	512	8,340	13,679	54.0%	4.0%	1.0%	20.0%	21.0%
	Other	585	2,959	693	588	19,152	26,536	56.0%	12.0%	10.0%	11.0%	11.0%
	Sub-total	1,150	5,877	1,107	1,100	27,492	40,215	55.3%	9.3%	6.9%	14.1%	14.4%

Hilltops Council

Report on infrastructure assets as at 30 June 2024 (continued)

Total – all assets	44,903	121,359	10,527	10,509	800,291	1,277,457	37.3%	20.8%	28.9%	8.0%	5.0%
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(a) Required maintenance is the amount identified in Council's asset management plans.

Infrastructure asset condition assessment 'key'

#	Condition	Integrated planning and reporting (IP&R) description
1	Excellent/very good	No work required (normal maintenance)
2	Good	Only minor maintenance work required
3	Satisfactory	Maintenance work required
4	Poor	Renewal required
5	Very poor	Urgent renewal/upgrading required

Hilltops Council

Report on infrastructure assets as at 30 June 2024

Infrastructure asset performance indicators (consolidated) *

	Amounts	Indicator	Indicator Restated 2023	Benchmark
\$ '000	2024	2024	2023	
Buildings and infrastructure renewals ratio				
Asset renewals ¹	30,572	158.54%	81.59%	> 100.00%
Depreciation, amortisation and impairment	19,283			
Infrastructure backlog ratio				
Estimated cost to bring assets to a satisfactory standard	44,903	5.58%	5.51%	< 2.00%
Net carrying amount of infrastructure assets	804,612			
Asset maintenance ratio				
Actual asset maintenance	10,509	99.83%	122.16%	> 100.00%
Required asset maintenance	10,527			
Cost to bring assets to agreed service level				
Estimated cost to bring assets to an agreed service level set by Council	121,359	9.50%	9.89%	
Gross replacement cost	1,277,457			

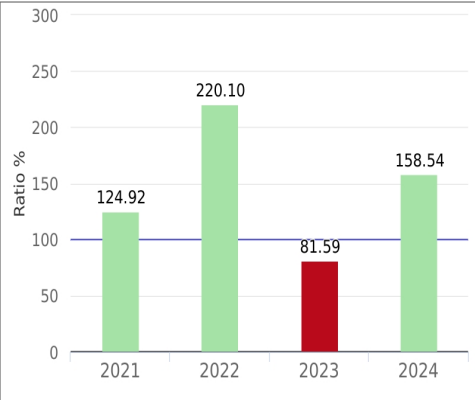
(*) All asset performance indicators are calculated using classes identified in the previous table.

(1) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.

Hilltops Council

Report on infrastructure assets as at 30 June 2024

Buildings and infrastructure renewals ratio



Buildings and infrastructure renewals ratio

To assess the rate at which these assets are being renewed relative to the rate at which they are depreciating.

Commentary on result	
23/24 ratio	158.54%
Some major infrastructure for roads and bridges was finalised this year. This has resulted in the big increase in the ratio.	

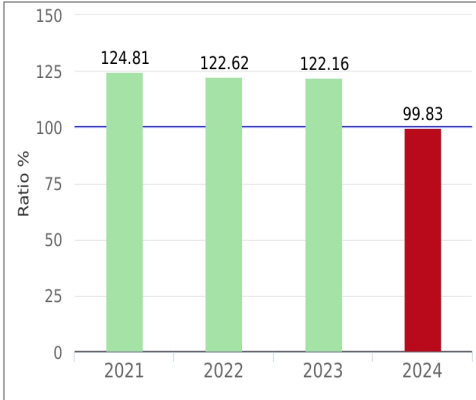
Benchmark: — > 100.00%

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio is outside benchmark

Asset maintenance ratio



Asset maintenance ratio

Compares actual vs. required annual asset maintenance. A ratio above 1.0 indicates Council is investing enough funds to stop the infrastructure backlog growing.

Commentary on result	
23/24 ratio	99.83%
As detailed above, the spend on capital has meant a reduction in maintenance costs. Council is still effectively at the benchmark.	

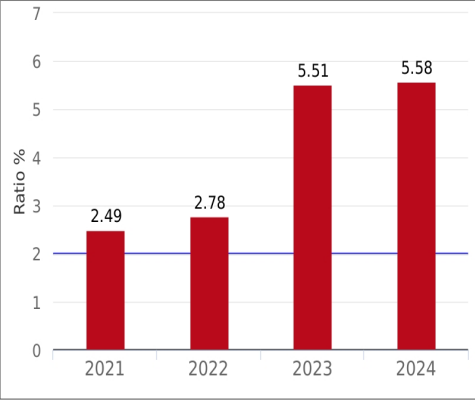
Benchmark: — > 100.00%

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio is outside benchmark

Infrastructure backlog ratio



Infrastructure backlog ratio

This ratio shows what proportion the backlog is against the total value of a Council's infrastructure.

Commentary on result	
23/24 ratio	5.58%
Council completed a new assessment (with Morrison Low) of its required infrastructure spend in the prior year resulting in the prior change. The same methodology has been applied in the current year arriving at a similar result. Council is well outside the benchmark of less than 2.	

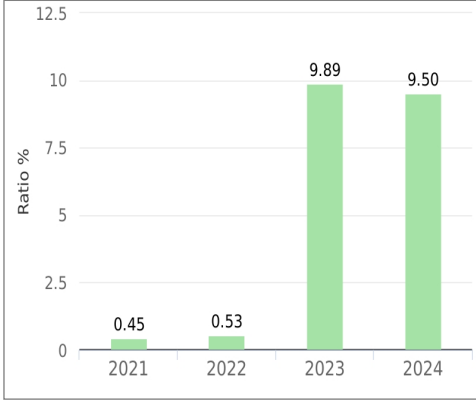
Benchmark: — < 2.00%

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio is outside benchmark

Cost to bring assets to agreed service level



Cost to bring assets to agreed service level

This ratio provides a snapshot of the proportion of outstanding renewal works compared to the total value of assets under Council's care and stewardship.

Commentary on result	
23/24 ratio	9.50%
Council completed a new assessment (with Morrison Low) of its required infrastructure spend in the prior year resulting in the prior change. The same methodology has been applied in the current year arriving at a similar result.	

Hilltops Council

Report on infrastructure assets as at 30 June 2024

Infrastructure asset performance indicators (by fund)

\$ '000	General fund		Water fund		Sewer fund		Benchmark
	2024	2023	2024	2023	2024	2023	
Buildings and infrastructure renewals ratio							
Asset renewals ¹	179.07%	81.98%	84.46%	145.16%	15.56%	13.83%	> 100.00%
Depreciation, amortisation and impairment							
Infrastructure backlog ratio							
Estimated cost to bring assets to a satisfactory standard	3.84%	3.82%	16.30%	15.67%	19.45%	18.90%	< 2.00%
Net carrying amount of infrastructure assets							
Asset maintenance ratio							
Actual asset maintenance	99.56%	126.90%	99.14%	101.92%	102.36%	105.18%	> 100.00%
Required asset maintenance							
Cost to bring assets to agreed service level							
Estimated cost to bring assets to an agreed service level set by Council	7.62%	7.94%	19.72%	20.54%	18.21%	18.16%	
Gross replacement cost							

(1) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.